# Foreign Exchange Outlook

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## KEY EVENTS IN THE MONTH AHEAD

### 1) MONETARY POLICY TO TAKE FOCUS

The 'Trump trade' looks to have run its course for now having commenced in early October and run through to 22nd November (USD peak) – over that period the DXY advanced by close to 7%. Politics could now take a backseat given President-elect Trump has named his cabinet meaning the next key scheduled event will be inauguration on 20th January. We will potentially get further hints on policy actions but the move in FX and rates certainly incorporates a high level of expectations of a quick implementation of trade tariffs, a move to commence immigrant deportations and a push to get Trump's tax plans through Congress. In the meantime the focus is likely to shift back to fundamentals and monetary policy. The US jobs report on 6th December will be important in shaping expectations of what the FOMC will do on 18th December and assuming no major surprise strength in the jobs report, we expect the FOMC to cut by 25bps. Nine of the G10 central banks will meet in December (RBNZ will not) and we expect the BoC (11th), the ECB (12th), the SNB (12th), and Riksbank (19th) to all cut probably by 25bps. The BoC and the SNB could surprise and cut by 50bps. The RBA (10th), the BoE (19th), and Norges Bank (19th) will likely maintain their current monetary stances. Communications on guidance in 2025 from all central banks will likely be cautious given the uncertainties over Trump's trade policy approach and the potential for countries to then retaliate. Renewed US dollar strength could be curtailed, especially against the euro given the very strong seasonal bias that tends to result in EUR/USD appreciation in December.

### 2) BoJ THE ODD ONE OUT AGAIN

With the eight other G10 central banks meeting in December either cutting or leaving policy rates unchanged, we believe the BoJ could well be the odd one out in hiking rates. The BoJ meeting will follow the FOMC meeting less than twelve hours later and we may well see an FOMC cut followed by a BoJ hike. It's not a done deal yet but the inflation data in November (PPI services and Tokyo CPI) certainly could provide the justification for a move. Given the financial market turmoil that followed the July rate hike we would certainly expect some communication signalling a plan to hike. There are no scheduled speeches by senior BoJ officials (only Nakamura on 5th Dec who is a dove) but we could have comments from Diet appearances or via the media to hint at possible action at the December meeting.

### 3) LOOKING FOR POLICY GUIDELINES FROM DECEMBER'S MEETINGS

There are two major policy meetings to watch in China in December, namely the Annual Central Economic Work Conference and Politburo meeting. Typically, these two meetings allow Chinese leaders to review the economic work done in the year and lay out the main economic priorities in the following year, which we may reveal a clearer roadmap on future fiscal expansion and other stimulus plans. Meanwhile, the PBoC is likely to deliver a 25bps-50bps RRR cut in December to ease the liquidity condition and reduce the cost of funding for commercial banks, which would help alleviate the squeeze in net interest margin as well.

# Contents

# Forecast rates against the US dollar - End-Q1 to End-Q4 2025

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| JPY | 150.44 | 154.00 | 152.00 | 150.00 | 148.00 |
| EUR | 1.0550 | 1.0200 | 1.0500 | 1.0600 | 1.0800 |
| GBP | 1.2700 | 1.2360 | 1.2800 | 1.2930 | 1.3010 |
| CNY | 7.2440 | 7.4000 | 7.5000 | 7.5000 | 7.4000 |
| AUD | 0.6510 | 0.6350 | 0.6300 | 0.6500 | 0.6600 |
| NZD | 0.5911 | 0.5800 | 0.5750 | 0.5900 | 0.6000 |
| CAD | 1.4010 | 1.4400 | 1.4100 | 1.3900 | 1.3700 |
| NOK | 11.058 | 11.765 | 11.619 | 11.415 | 11.019 |
| SEK | 10.921 | 11.569 | 11.524 | 11.321 | 10.926 |
| CHF | 0.8820 | 0.9020 | 0.8760 | 0.8770 | 0.8700 |
| | | | | | |
| CZK | 23.924 | 25.100 | 24.570 | 24.430 | 23.800 |
| HUF | 391.19 | 408.80 | 400.00 | 398.10 | 393.50 |
| PLN | 4.0665 | 4.2650 | 4.1900 | 4.1980 | 4.0740 |
| RON | 4.7149 | 4.8820 | 4.7710 | 4.7550 | 4.6940 |
| RUB | 107.32 | 113.97 | 117.36 | 121.71 | 125.48 |
| ZAR | 18.039 | 18.500 | 18.750 | 19.000 | 18.750 |
| TRY | 34.690 | 37.500 | 40.000 | 41.500 | 42.500 |
| | | | | | |
| INR | 84.490 | 85.200 | 85.500 | 85.700 | 86.000 |
| IDR | 15843 | 16250 | 16210 | 16170 | 16100 |
| MYR | 4.4425 | 4.5700 | 4.5500 | 4.5200 | 4.4800 |
| PHP | 58.592 | 59.700 | 59.300 | 59.000 | 58.800 |
| SGD | 1.3418 | 1.3800 | 1.3750 | 1.3700 | 1.3650 |
| KRW | 1398.0 | 1430.0 | 1450.0 | 1450.0 | 1440.0 |
| TWD | 32.496 | 33.100 | 33.300 | 33.200 | 33.000 |
| THB | 34.299 | 36.100 | 36.000 | 35.700 | 35.500 |
| VND | 25310 | 25800 | 25900 | 25800 | 25700 |
| | | | | | |
| ARS | 1009.2 | 1110.0 | 1200.0 | 1310.0 | 1500.0 |
| BRL | 5.9904 | 6.1000 | 6.2000 | 6.3000 | 6.4000 |
| CLP | 972.95 | 1030.0 | 1050.0 | 1070.0 | 1050.0 |
| MXN | 20.305 | 22.000 | 21.500 | 21.000 | 20.500 |
| | | | | | |
| Brent | 73.23 | 73.00 | 69.00 | 74.00 | 77.00 |
| NYMEX | 69.25 | 68.00 | 64.00 | 69.00 | 72.00 |
| SAR | 3.7564 | 3.7500 | 3.7500 | 3.7500 | 3.7500 |
| EGP | 49.565 | 49.700 | 49.300 | 49.100 | 48.700 |

*Notes: All FX rates are expressed as units of currency per US dollar bar EUR, GBP, AUD and NZD which are expressed as dollars per unit of currency. Data source spot close; Bloomberg closing rate as of 4:30pm London time, except VND which is local onshore closing rate.*

# US dollar

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/JPY | 150.44 | 154.00 | 152.00 | 150.00 | 148.00 |
| EUR/USD | 1.0550 | 1.0200 | 1.0500 | 1.0600 | 1.0800 |
| | | Range | Range | Range | Range |
| USD/JPY | | 145.00-160.00 | 143.00-158.00 | 141.00-156.00 | 139.00-154.00 |
| EUR/USD | | 0.9900-1.0600 | 1.0100-1.0800 | 1.0300-1.1000 | 1.0400-1.1200 |

## MARKET UPDATE

USD strength versus EUR as expected on a Trump victory

In November the US dollar strengthened notably against the euro in terms of London closing rates, from 1.0859 to 1.0550. However, the dollar weakened against the yen, from 152.43 to 150.44. The FOMC at its meeting in November cut the federal funds rate by 25bps to a range of 4.50% to 4.75%, and followed a 50bp cut in September. The FOMC continued with its policy of reducing its securities holdings with QT ongoing but at a reduced rate of USD 60bn per month through a reduction in UST bond holdings from USD 60bn to USD 25bn. The pace of reduction in the holdings of MBS remains at USD 35bn per month.

## OUTLOOK

'Trump trades play out broadly as expected

The US dollar on a DXY basis strengthened further in November in response to the victory for Donald Trump in the presidential election on 5th November. We had highlighted in this publication over recent months our view for a US dollar gain of around 7-8% on a Trump victory. When considering the 'Trump trade' recommenced in October, the drop from close to 1.1200 to the lows around 1.0400 in EUR/USD equates close to our estimated move. US Treasury yields and US equities moved higher as well on the back of expectations that Trump's policies will lift growth, inflation and corporate earnings. Trump's cabinet picks confirm the importance of loyalty over experience and the potential for disruption over the status quo. Trump did take more time on his economic / financial market-related picks that indicated he valued experience in those fields as well. The choice of Howard Lutnick as Commerce Secretary with an increased remit over the Office of the US Trade Representative make us confident of a quick start to implementing trade tariffs unlike in Trump's first term. The US Trade Rep (Jamieson Greer) is also pro-trade tariffs and Trump's threat to implement tariffs on China, Canada and Mexico on day one strengthens the likelihood of an aggressive start to trade policies in January.

Fed to cut by less in 2025

The expectations of higher inflation due to trade tariffs on all US imports, increased deportations and tax cuts resulted in a paring of Fed rate cut expectations. We still expect a 25bp rate cut in December (assuming NFP is broadly as expected) and then three further cuts in 2025. This is notably less than what we expected if Kamala Harris had won the election and this shift is reflected in the strengthening of the dollar. However, we expect more cuts than is currently priced in the OIS market and there is a risk that Trump does not deliver tariffs as aggressively in the near-term. We also are sceptical of Trump's policies to deliver a pick-up in economic growth without fuelling additional inflationary pressures. Real yields therefore are unlikely to increase and could even decline modestly, which over time will start to undermine the dollar.

USD at stronger levels under Trump but peak will be sooner rather than later

We expect a flurry of trade tariff announcements in January along with action on deportations and a push for quick legislation on tax cuts (similar to 2017) that will fuel renewed dollar appreciation. We may see the dollar peak in 1H 2025 before we see some retracement as the US economy slows and the Fed cuts rates.

| | Interest Rate Close | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| Policy Rate | 4.58% | 4.38% | 4.13% | 3.88% | 3.63% |
| 3-Month T-Bill | 4.49% | 4.30% | 4.05% | 3.80% | 3.60% |
| 10-Year Yield | 4.17% | 4.50% | 4.50% | 4.63% | 4.75% |

** Interest rate assumptions incorporated into MUFG foreign exchange forecasts.*

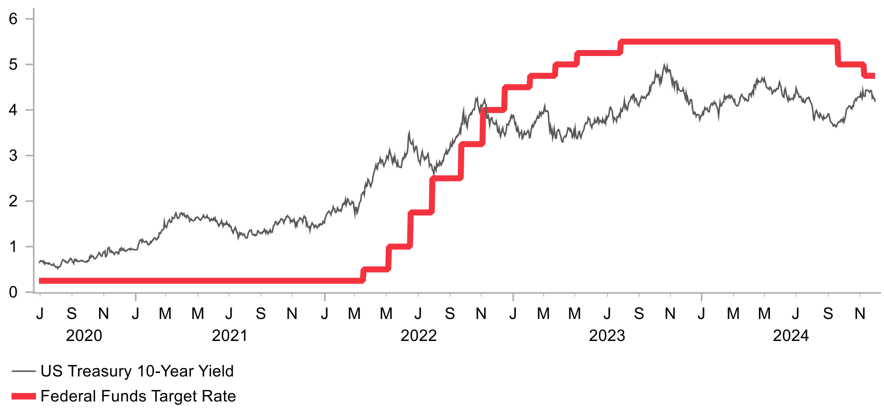
## INTEREST RATE OUTLOOK

We maintain our house view that the Fed will likely deliver another 25bp cut for 2024, at the last meeting of the year in December, bringing the total to 100bps of cuts for this past year. Yet in 2025 the pace of Fed cuts may slow.

We think the Fed will cut rates in December since it was in the September SEP forecast. The latest FOMC minutes were dovish and flagged that market functioning is in focus (with the Fed thinking about reducing the RRP rate by 5bps) so why skip at year-end and create unnecessary volatility during a potential illiquid period for broader markets. Not to mention skipping may seem political since its in their forecasts from before the election and they have not really signaled the cut is off the table. The only way the Fed does not cut is if the NFP data from November meaningfully beats expectations and the prior weaker NFP data gets revised higher. We are skeptical that the latest NFP report will be strong given that the data collection period was during the election week. However, we do believe December will be the last of the consecutive meeting cuts, and expect the tone of the meeting to be mildly hawkish, with an emphasis on taking it slow and seeing what incoming data and policies look like in 2025. In the updated December SEP forecast, the Committee could reduce cuts from four to three for 2025 and signal there is no need to rush to normalize policy, as the rate cuts delivered thus far is already a big down payment in their pursuit of neutral rates. (George Goncalves)

US yields are expected to remain higher for longer

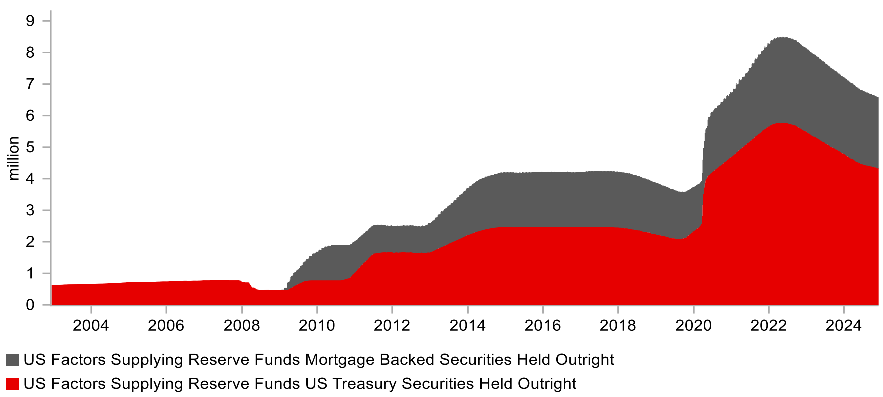
### 10YR UST YIELD VS. FED FUNDS RATE




*Source: MUFG GMR, Bloomberg*

Fed continues to shrink balance sheet

### FOMC SECURITIES HOLDINGS, UST VS. MBS




*Source: Bloomberg, Macrobond*

# Japanese yen

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/JPY | 150.44 | 154.00 | 152.00 | 150.00 | 148.00 |
| EUR/JPY | 158.71 | 157.10 | 159.60 | 159.00 | 159.80 |
| | | Range | Range | Range | Range |
| USD/JPY | | 145.00-160.00 | 143.00-158.00 | 141.00-156.00 | 139.00-154.00 |
| EUR/JPY | | 151.00-163.00 | 152.00-165.00 | 152.00-166.00 | 153.00-167.00 |

## MARKET UPDATE

JPY surprises and strengthens

In November the yen strengthened versus the US dollar in terms of London closing rates from 152.43 to 150.44. In addition, the yen strengthened versus the euro, moving from 165.52 to 158.71. The BoJ did not meet in November and hence the monetary stance was unchanged following the announcements in July when the BoJ hiked the key policy rate 15bps to 0.25% and cut the JGB monthly purchase rate by JPY 400bn per quarter, which is estimated to see purchases fall to around JPY 2.9trn per month by Q1 2026.

## OUTLOOK

Yen outperforms in November after poor October performance and fiscal stimulus

The yen was the top performing G10 currency in November, marginally outperforming the strong US dollar as the focus shifted from the implications of Donald Trump's election victory to the prospects of another rate hike from the BoJ. The resilience of the yen may also have reflected the sharp depreciation in October ahead of the election – the yen was the second worst performing G10 currency in October, falling by 5.5%. The threat of intervention may have helped curtail yen selling in November. Expectations of a different approach to FX policy under new PM Ishiba receded after comments from senior MoF officials expressing dissatisfaction with yen depreciation and hinting at possible intervention. Finally, the new LDP-led minority government managed with relative ease to agree a fiscal stimulus package with the main opposition party – the DPP – to help support households and boost real GDP growth which in turn lifted expectations of a BoJ rate hike. The fiscal stimulus agreement further reinforced expectations of a rate hike by the BoJ.

BoJ to hike in December

We recently pushed back the timing of the next BoJ rate hike from December to January but in light of developments in November now believe that decision was premature. We are reverting back to a December hike due to the above factors and due to the victory of Donald Trump in the election. That development has raised the risk of higher yields in the US that increases the risk of an unwarranted weakening of the yen. While initially PM Ishiba and other government officials urged caution in regard to further rate hikes, the situation has changed quickly and with the Upper House elections in July 2025, the government will be more supportive of action to limit yen selling risks. The BoJ have also likely become more confident in the virtuous cycle between wages and inflation. PPI Services inflation data released by the BoJ in November revealed this measure related specifically to companies with a high labour cost ratio jumped to 3.3% YoY, the highest level since 1992. Rengo, Japan's largest trade union has set a target of "at least 5%" – similar to this year for the FY25 wage negotiations set to commence in February-March next year.

JPY to strengthen further ahead

There is still a high chance that in the initial stages of the second Trump presidency that USD/JPY could rebound as the dollar more broadly strengthens again, especially if Japan is hit with tariffs, but we would then expect to see USD/JPY drift lower with the Fed still having scope to cut rates and the BoJ to hike.

| | Interest Rate Close | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| Policy Rate | 0.25% | 0.50% | 0.50% | 0.75% | 1.00% |
| 3-Month Bill | 0.13% | 0.70% | 0.85% | 0.90% | 1.10% |
| 10-Year Yield | 1.05% | 1.20% | 1.25% | 1.30% | 1.40% |

** Interest rate assumptions incorporated into MUFG foreign exchange forecasts.*

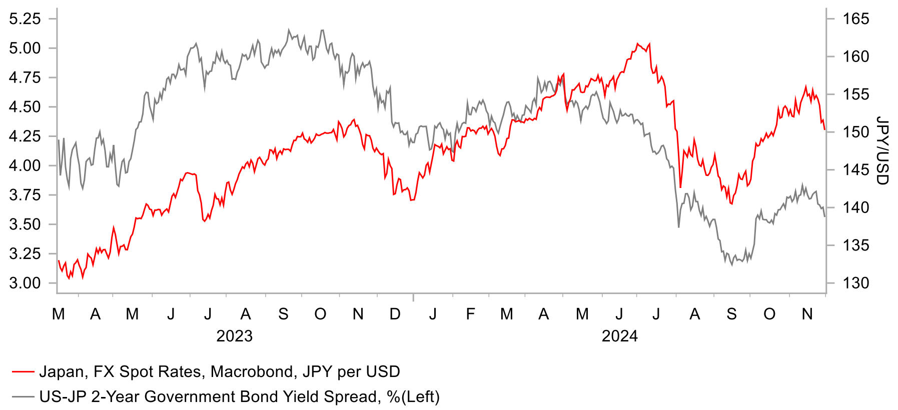
## INTEREST RATE OUTLOOK

BoJ to hike and yields to drift higher

The 10-year JGB yield increased in November largely reflecting the move in US Treasury yields following Donald Trump's election victory with the 10-year JGB yield closing at 1.05%, up 10bps. The JGB move in yields also reflected domestic developments after the agreement on a supplementary budget to finance additional government spending to boost economic growth. The JPY 13.9trn additional budget was slightly larger than a year earlier and will be in part financed by tax revenues that are stronger than expected and some unused funds from previous spending plans. It means that JGB issuance related to the supplementary budget will be JPY 6.69trn. The stimulus package will help maintain confidence that Japan has moved to a new era of modest positive inflation after years of deflation. That's the view of the BoJ as well and in addition to hikes to the key policy rate, the BoJ is set to continue gradually shrinking its balance sheet by reducing its monthly purchase rate of JGBs. The JGB purchase policy is consistent with the gradual increase in the 10-year JGB yield throughout the four quarters of 2025.

Narrowing yield spreads offer less support for USD/JPY

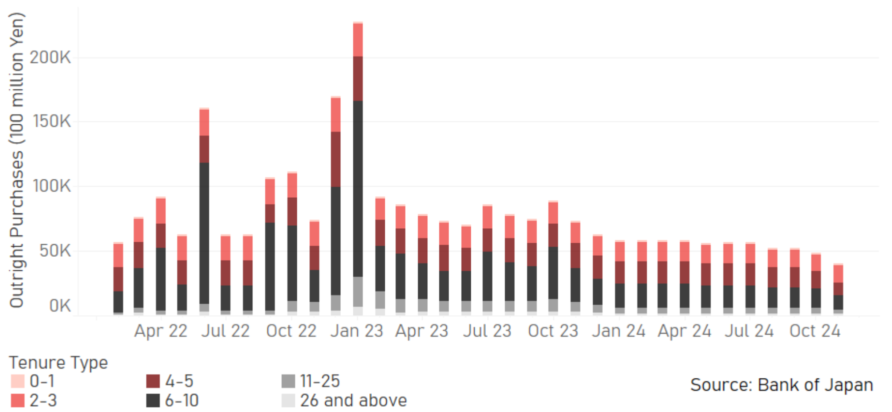
### USD/JPY VS. SHORT-TERM YIELD SPREAD




*Source: Bloomberg, Macrobond*

BoJ has been slowing down pace of JGB purchases

### JGB OUTRIGHT MONTHLY PURCHASES



# Euro

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| EUR/USD | 1.0550 | 1.0200 | 1.0500 | 1.0600 | 1.0800 |
| EUR/JPY | 158.71 | 157.10 | 159.60 | 159.00 | 159.80 |
| | | Range | Range | Range | Range |
| EUR/USD | | 0.9900-1.0600 | 1.0100-1.0800 | 1.0300-1.1000 | 1.0400-1.1200 |
| EUR/JPY | | 151.00-163.00 | 152.00-165.00 | 152.00-166.00 | 153.00-167.00 |

## MARKET UPDATE

EUR plunges on Trump win

In November the euro weakened notably versus the US dollar in terms of London closing rates, moving from 1.0859 to 1.0550. The ECB did not meet in November and hence the key policy rate remained at 3.25%, following three cuts of 25bps in June and September and October, reversing 75bps of the 450bps of rate hikes through to September 2023. The ECB is running down APP securities and started PEPP run-off in July with about EUR 380bn of securities rolling off the balance sheet in 2024.

## OUTLOOK

EUR to fall further

The euro depreciated sharply in November in response to the election victory for Donald Trump. Trump's anticipated policies on trade tariffs, deportations of illegal immigrants and tax cuts are expected to fuel a further divergence in economic growth and monetary policy. We expect the initial driver of FX in the first quarter and into the second will be on expected trade tariff actions that could drive EUR/USD further lower. The market is now priced for action but it is difficult to know precisely how Trump will act but we do expect an aggressive start that will likely include Europe. The US trade deficit with the euro-zone has widened – since the end of 2019 the deficit has increase from USD 158bn to USD 196bn in September 2024. As one entity, the euro-zone accounts for the largest portion of total US imports, at 14% in 2023. The under-spend in reaching the NATO military spending threshold of 2% of GDP could also incentivise an aggressive approach to the euro-zone. NATO data released earlier this year revealed of the 31 countries reported, eight were below the 2% target and of those eight, seven were euro-zone countries (Canada the other).

Divergence looks excessive

The expectations of tariffs has fuelled expectations of a hit to GDP growth that will prompt more aggressive ECB rate cuts. At the end of November, the OIS market was priced for 168bps of cuts from the ECB by the end of next year while pricing for the Fed was a little over 70bps. We view this divergence as excessive and doubt the ECB will cut its policy rate to this extent in circumstances of increased trade conflict and the risks to inflation associated with possible retaliation by the euro-zone. Furthermore, while tariffs on exports to the US will be a clear negative for euro-zone growth, there are certain factors that might mean the impact is less severe than expected. Firstly, euro-zone exports to the US as a percentage of GDP amounts to 3.3%, not insignificant but a size that could mean the negative impact is countered, possibly by improving domestic demand. Inflation is reverting back to target at a time of significant increases in nominal wages. ECB negotiated wages surged by 5.4% YoY in Q3, the biggest increase since the start of the single currency in 1999 which will be a key support for domestic demand conditions going forward.

EUR/USD could test parity before modestly recovering

Growth fears as tariff announcements are made in Q1 into Q2 will weigh on EUR/USD. Trump is unlikely to introduce 10%/20% on imports globally but the euro-zone is at risk of action across a number of sectors. We still see the ECB then cutting by less than priced which with the Fed cutting should allow EUR/USD to recover.

| | Interest Rate Close | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| Policy Rate | 3.25% | 2.50% | 2.00% | 2.00% | 2.00% |
| 3-Month Bill | 2.87% | 2.20% | 1.80% | 1.90% | 1.90% |
| 10-Year Yield | 2.09% | 2.10% | 2.10% | 2.20% | 2.30% |

** Interest rate assumptions incorporated into MUFG foreign exchange forecasts.*

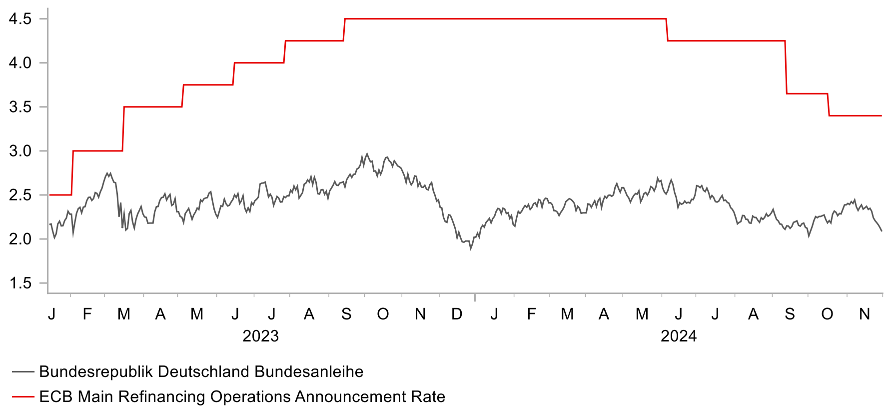
## INTEREST RATE OUTLOOK

Limited downside for yields given inflation risks

The 10-year bund yield fell sharply in November reflecting the election victory for Donald Trump that has increased the prospect of trade tariffs damaging already weak growth in the euro-zone. The 10-year German bund yield fell 30bps to close at 2.09%, more than fully retracing the move higher in yields in October. The US-EZ 10-year spread widened by 20bps. As stated above, we are not convinced of the scale of divergence priced and see scope for that to be pared back. The wage data released in November underlines the positive impact that should come from an improvement in real incomes and therefore consumer spending. Underlying inflation also remains elevated and ECB officials have continued to express concerns over sticky inflation. Services CPI on an annual basis has remained at around 4.0% for the last 12mths. Some ECB officials have expressed scepticism of current market pricing. While admittedly more of a hawk, ECB Executive Board member Schnabel stated on 25th November that she saw limited scope for further rate cuts. 10-year yields will likely initially go lower but should then stabilise and move higher as ECB rate cuts are less extensive than currently priced and moves are dictated by the US.

Low bund yields reflect pessimism over weak growth outlook in Germany & euro-zone

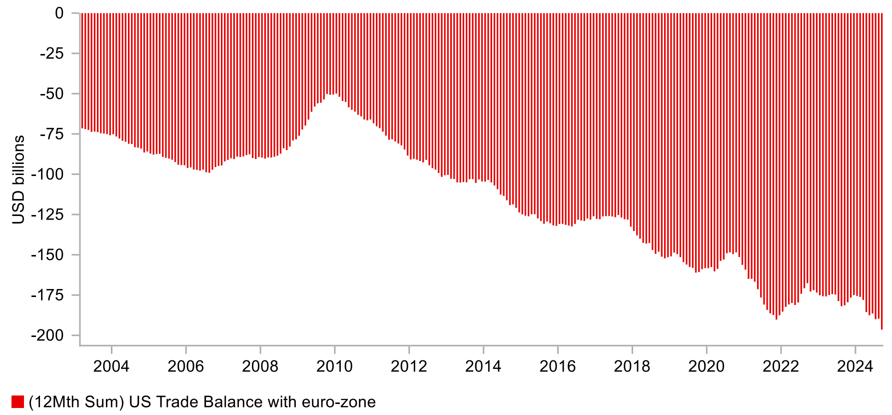
### ECB POLICY RATE VS. 10YR GERMAN GOVT. YIELD




*Source: Bloomberg, Macrobond*

A red flag for Donald Trump

### US TRADE DEFICIT WITH EURO-ZONE




*Source: Bloomberg, Macrobond*

# Pound sterling

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| EUR/GBP | 0.8307 | 0.8250 | 0.8200 | 0.8200 | 0.8300 |
| GBP/USD | 1.2700 | 1.2360 | 1.2800 | 1.2930 | 1.3010 |
| GBP/JPY | 191.06 | 190.40 | 194.60 | 193.90 | 192.60 |
| | | Range | Range | Range | Range |
| GBP/USD | | 1.2000-1.2800 | 1.2200-1.3100 | 1.2400-1.3300 | 1.2500-1.3500 |

## MARKET UPDATE

**GBP weakens vs. USD but not EUR**

In November the pound weakened notably against the US dollar in terms of London closing rates from 1.2872 to 1.2700. However, the pound strengthened against the euro from 0.8436 to 0.8307. The MPC at its meeting in November cut the key policy rate by 25bps to 4.75% following on from the 25bp cut in August which was the first after 14 consecutive rate increases through to August last year.

## OUTLOOK

**Trump win weakens pound but less than euro**

The pound depreciated further against the US dollar reflecting the broad dollar strengthening in response to the election victory for Donald Trump. Still, the pound managed to outperform the euro and most other G10 European currencies with the UK possibly better positioned to deal with the probable trade tariffs to be implemented by the Trump administration. The UK economy looks better positioned to cope and the rates divergence with the US has been more marginal. Indeed, through the next eight policy meetings through to Q4 2025 the OIS market is showing 75bps of cuts by both the Fed and the BoE. In contrast, the ECB is expected to cut by 165bps. The economy does look to have slowed after strong growth in 1H 2024 but the labour market data points to the potential for continued upside risks to inflation. Average hourly earnings accelerated on a 3mth YoY basis from 3.9% to 4.3% while core CPI on an annual basis picked up from 3.2% to 3.3% and services CPI remains elevated at 5.0%. The advance PMI data does point to a deterioration in business sentiment probably reflecting increased concerns over trade tariffs being implemented in the new year. There was also a likely negative impact from the government's decision to increase the National Insurance Contribution rate for employers which could squeeze companies profit margins.

**BoE caution but risks of more cuts than priced**

The market pricing on rates implying that the UK could be better positioned to deal with trade tariffs does make some sense. Two-thirds of UK exports to the US are services, and goods exports are equivalent to about 2.0% of UK GDP. Furthermore, analysing US trade statistics shows that the US is actually running a trade surplus with the UK, totalling USD 10bn over the 12 month period to September. While possibly better positioned we still expect the BoE to potentially cut by more than implied by current OIS market pricing. We see scope for 100bps of cuts once the BoE becomes more confident that inflation will ease further. While the direct impact of tariffs might prove less for the UK, the UK's exposure to the euro-zone and elsewhere will see indirect impacts from US trade policies. Still, this implies one additional cut relative to current market pricing which is unlikely to have a dramatic impact on the performance of the pound. The front-loaded nature of the spending outlined in the budget should help offset weaker global growth conditions.

**GBP to weaken modestly versus EUR but recover versus USD**

The low point in GBP/USD should come in 1H 2025 as trade tariff fears reach their peak. Current OIS pricing on ECB rate cuts (too much) and BoE cuts (too little) should mean EUR/GBP can drift modestly higher towards the end of 2025.

| | Interest Rate Close | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| Policy Rate | 4.75% | 4.50% | 4.00% | 3.75% | 3.75% |
| 3-Month Bill | 4.74% | 4.40% | 3.80% | 3.60% | 3.60% |
| 10-Year Yield | 4.24% | 4.20% | 4.10% | 4.20% | 4.40% |

** Interest rate assumptions incorporated into MUFG foreign exchange forecasts.*

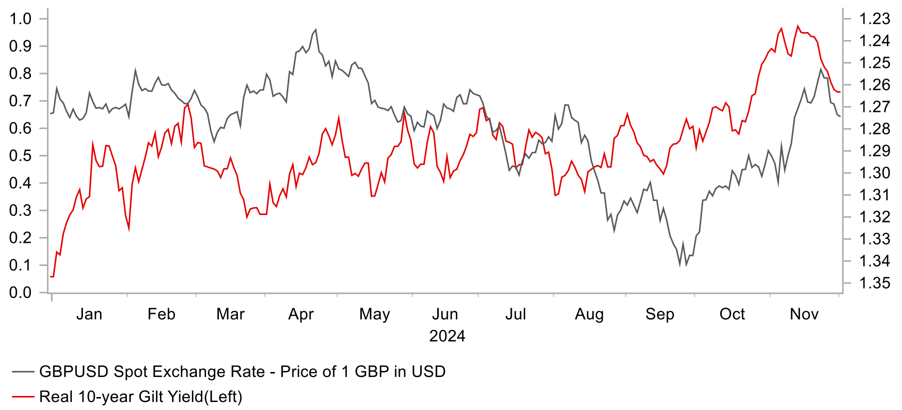
## INTEREST RATE OUTLOOK

Modest move lower in yields

After jumping notably in October, the 10-year Gilt yield fell in November, by 21bps to close at 4.24%. The move lower was helped by a reversal in yields in the US as 'Trump trades' lost momentum. The big increase in government borrowing related to the budget announcement on 30th October could see Gilt yields remain more elevated through a widening in the term premium given the increased uncertainties. Overall borrowing over the course of the forecast period in the budget to 2029-30 is estimated to increase by GBP 142bn, which is hard for investors to ignore. But there are signs of moderating economic growth in some of the recent data and we continue to assume that over the coming 12 month period, inflation is set to slow by more than the BoE currently assumes. The latest Monetary Policy Report shows inflation accelerating to 2.8% in Q3 2025 before then moving lower to 2.2% by the end of 2026. This view of the inflation outlook is too pessimistic and we therefore see scope for the BoE delivering more than the current 75bps of cuts expected next year. If correct that will help reduce upside risks to longer-term yields, and we see scope for a modest decline in 10-year yields but yields then go higher in sympathy with the US.

Higher UK yields helping to encourage stronger GBP especially against EUR

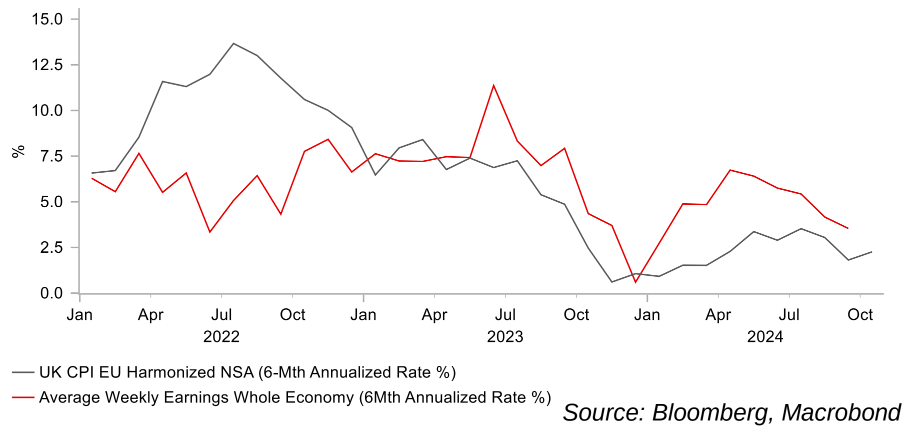
### GBP/USD VS. 10YR GILT YIELD




*Source: Bloomberg, Macrobond*

Wage growth is currently outpacing inflation

### UK CPI VS. AVERAGE WEEKLY EARNINGS




*Source: Bloomberg, Macrobond*

# Chinese renminbi

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/CNY | 7.2440 | 7.4000 | 7.5000 | 7.5000 | 7.4000 |
| USD/HKD | 7.7805 | 7.7900 | 7.7800 | 7.7700 | 7.7700 |
| | | Range | Range | Range | Range |
| USD/CNY | | 7.1000-7.6000 | 7.2000-7.7000 | 7.2000-7.7000 | 7.1000-7.6000 |
| USD/HKD | | 7.7700-7.8500 | 7.7600-7.8400 | 7.7600-7.8400 | 7.7500-7.8300 |

## MARKET UPDATE

CNY weakness vs. USD is of similar scale to gains in DXY

In November, USD/CNY increased from 7.1162 to 7.2440. On 20th November, the PBoC kept the 1Y and 5Y LPR at 3.10% and 3.60% respectively, after cutting 25bps in the month earlier. The PBoC also kept 1Y MLF rate steady at 2%. Speaking at the Financial Street Forum in Beijing on 18th October, Governor Pan mentioned the possibility of another 25bps-50bps RRR cut by year-end depending on the liquidity condition.

## OUTLOOK

US tariffs on imports from China darkens outlook for economy and the currency

October's major macroeconomic data was mixed, with an improving retail sales growth and persisting weak performance of the property sector. China's retail sales surprised the market to the upside in October, thanks to the support from the consumer goods trade-in program. However, despite a jump in retail sales growth, the consumer price inflation remained subdued. October industrial profits remained under pressure with three consecutive months of negative growth, partly due to intensifying PPI deflation. Meanwhile, October IP growth slowed while FAI YTD growth remained unchanged from prior the month's low level. The lukewarm recovery pace of the Chinese economy requires additional stimulus especially fiscal policies. The local government debt-swap program (RMB 6tn) was introduced on 8th November to defuse the hidden debt risk and free up resources of local governments for development in strategic areas and improving people's livelihood. Looking forward, we do expect the government to introduce more incremental policies, including "forceful" fiscal policy next year as pointed out by Finance minister Lan, among others. The government may push out more consumption-related stimulus such as expanding the existing consumer goods trade-in program.

A phased tariff increase on China products likely pushes for a gradual depreciation of CNY ahead

US tariffs on imports from China clouds the prospect of China's economic recovery and USD/CNY. With Trump's victory and the GOP's red sweep in both the US Senate and House, compared with the case in Trump's first term when the tariffs was launched more than one year after Trump took the office, the Trump 2.0's tariff progress likely will be significantly faster. We are assuming a phased tariff on China goods, with that assumption consistent with Trump's recent threats of imposing an additional 10% tariff on imports from China. Trump will certainly not stop there, as the US trade deficit is still running large with China and the direction of the US-China relationship is unlikely to be turned. The outlook for USD/CNY heavily depends on the assumptions of the magnitude of the tariff and the timing of the tariffs on China exports to the US. Our forecasts of USD/CNY reflect our assumption of an extra 20ppts increase of tariffs, and a timing of phased tariff implementation in Q2 or Q3 2025. Having said that, should the Chinese government roll out significant extra stimulus to combat the negative impact caused by the tariffs, CNY may need not to depreciate as much to balance the economy. We are not ruling out the possibility of PBOC's intervention to shore up the CNY as well. We expect USD/CNY to reach 7.3000 by the end of this year.

| | Interest Rate Close | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| LPR 1Y | 3.10% | 2.90% | 2.90% | 2.90% | 2.90% |
| MLF 1Y | 2.00% | 1.70% | 1.70% | 1.70% | 1.70% |
| 7-Day Repo Rate | 1.50% | 1.30% | 1.30% | 1.30% | 1.30% |
| 10-Year Yield | 2.03% | 1.95% | 1.90% | 2.00% | 2.10% |

** Interest rate assumptions incorporated into MUFG foreign exchange forecasts.*

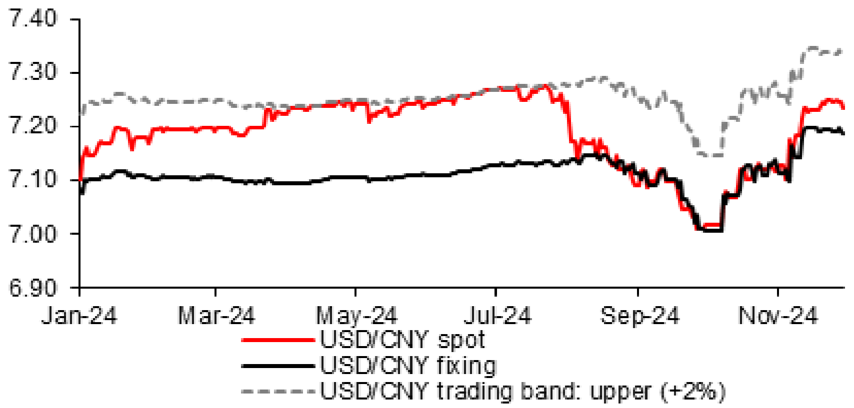
## INTEREST RATE OUTLOOK

Expectation of lower medium growth and risk aversion likely push the 10-year government bond yields lower

China's government bond yields shifted lower in November. So far, fiscal efforts have been more concentrated on dealing with local governments' hidden debt risks. There certainly is an expectation of further incremental fiscal support to work on investment and consumption directly. But the size of it is unlikely to be generous enough to reverse the current trend of declining government bonds yields, in our view. We expect a more moderate 4.5% real GDP growth for 2025 compared with this year's growth of 5%. Such a profile of lower medium GDP growth expectation and persisting low consumer price inflation, combined with a further relaxation of monetary policies including an RRR cut and policy rate cut, will likely send China's real rates lower and keep investors' enthusiasm sustained for bonds at least for couple quarters. The risk aversion caused by tariffs could help keep bond yields low as well. We expect the PBoC to cut the RRR by another 25bps to 50bps in December to ease the liquidity conditions given the upcoming sizeable maturities of existing PBoC instruments (MLF, 7-day reverse repo) and a year-end seasonal liquidity squeeze. We expect the 10-year CGB yield to edge lower until mid-2025, before tilting up slightly in 2H 2025.

USD/CNY to trend higher due to a phased US tariffs on Chinese products

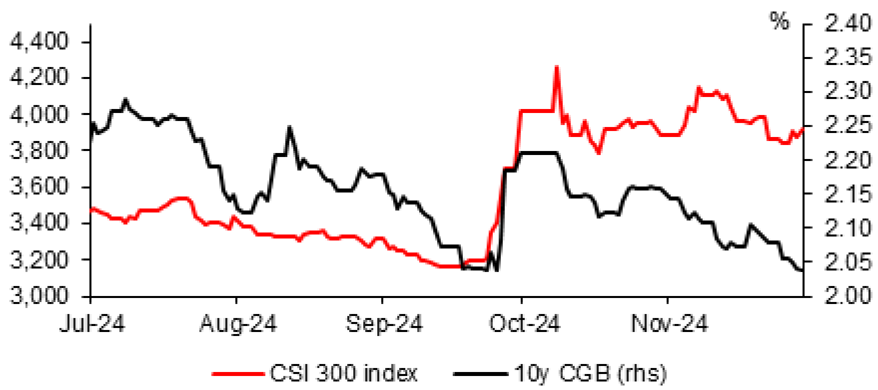
USD/CNY FIXING HAS BEEN ADJUSTED HIGHER BY PBOC SINCE MID-NOV




*Source: Bloomberg, MUFG GMR*

Chinese bond yields hit fresh lows as growth concerns persist

SENTIMENT WEAKENED AGAIN AS ECONOMIC RECOVERY REMAINS SLOW




*Source: Bloomberg, MUFG GMR*

# Australian dollar

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| AUD/USD | 0.6510 | 0.6350 | 0.6300 | 0.6500 | 0.6600 |
| AUD/JPY | 97.936 | 97.790 | 95.760 | 97.500 | 97.680 |
| EUR/AUD | 1.6206 | 1.6060 | 1.6670 | 1.6310 | 1.6360 |
| | | Range | Range | Range | Range |
| AUD/USD | | 0.6100-0.7100 | 0.6000-0.7000 | 0.6200-0.7200 | 0.6300-0.7300 |

## MARKET UPDATE

AUD weakens modestly on Trump win

In November the Australian dollar depreciated against the US dollar in terms of London closing rates from 0.6559 to 0.6510. The RBA at its meeting in November left the key policy rate unchanged at 4.35%, after hikes totalling 425bps.

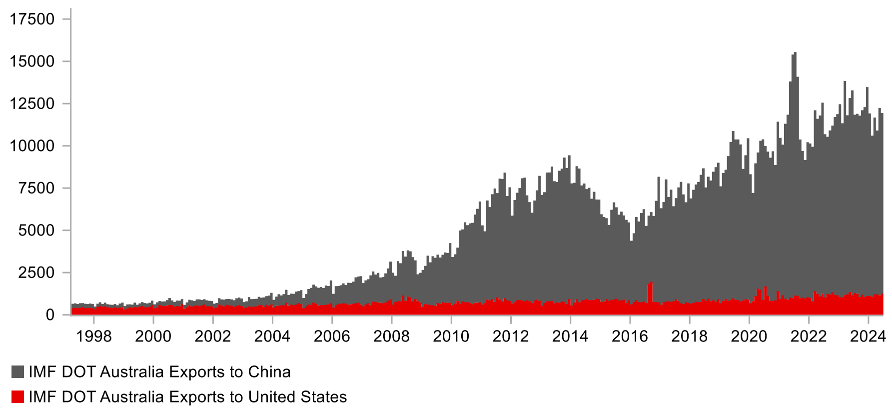
## OUTLOOK

AUD resilience but downside risks over the coming quarters

The Australian dollar fell in November but the decline was less than most other G10 currencies highlighting a level of resilience in the face of a period of potential global growth uncertainties following the election victory for Donald Trump. With China a primary focus for Trump's tariffs, Australia finds itself indirectly linked to the negative consequences that could come from a further hit to growth in China. The resilience of AUD may in part reflect expectations that China will respond to Trump's tariff actions with efforts to boost domestic demand conditions which would be to the benefit of Australian exports to China. The Australian economy has also proved more resilient than expected and the RBA is under little pressure to commence easing its monetary stance. The current economic conditions suggest the RBA took the better approach of not hiking too aggressively. The 2-year AU-US swap spread remains elevated and the spread levels this year were last trading back in 2022 when AUD/USD was trading close to the 0.7000-level. How China and Asia are impacted by Trump's policies will be most important for Australia. Australian exports to the US make up only 4% of total exports and equate to less than 1.0% of GDP. In contrast, exports to China account for 37% of total Australian exports and equates to over 7% of GDP. In our updated FX forecasts following Trump's victory we assumed a forecast level of 0.6300 as the low-point in Q1 2025. This remains valid although risks are skewed to the downside and we are likely to see lower levels than these forecasts which reflect quarter-end levels.

Australian exports to China are far more important than exports to the US

AUSTRALIA EXPORTS TO CHINA VS. US




*Source: Bloomberg, Macrobond*

# New Zealand dollar

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| NZD/USD | 0.5911 | 0.5800 | 0.5750 | 0.5900 | 0.6000 |
| NZD/JPY | 88.925 | 89.320 | 87.400 | 88.500 | 88.800 |
| AUD/NZD | 1.1013 | 1.0950 | 1.0960 | 1.1020 | 1.1000 |
| | | Range | Range | Range | Range |
| NZD/USD | | 0.5500-0.6100 | 0.5500-0.6100 | 0.5600-0.6200 | 0.5700-0.6300 |

## MARKET UPDATE

NZD depreciates

In November the New Zealand dollar weakened against the US dollar in terms of London closing rates from 0.5957 to 0.5911. In addition, the New Zealand dollar weakened against the Australian dollar, but very marginally, from 1.1011 to 1.1013. The RBNZ at its meeting in November cut the key policy rate by 50bps to 4.25%.

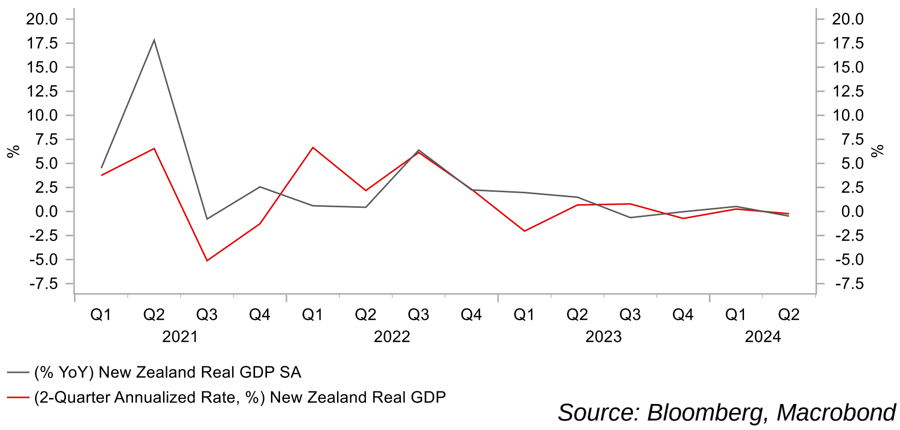
## OUTLOOK

NZD to underperform with the more work for the RBNZ

The New Zealand dollar weakened further in November with the US dollar broadly stronger following Donald Trump's election victory. FX markets are now priced for an escalation in trade tensions with widespread tariffs on US imports expected. The New Zealand economy is already on a weak footing and another technical recession is likely to be confirmed when Q3 GDP data is reported. That would be the second recession in two years. It is clear that the monetary stance of the RBNZ is constraining growth and the monetary stance is excessively tight. This remains the case following the 50bp cut, the second of that size with RBNZ Governor Orr suggesting another could be delivered at the next meeting in February. But the guidance from the RBNZ continues to be overly optimistic and the pace of rate cuts in 2025 is likely to be faster than implied by the RBNZ's guidance. Inflation is likely to prove weaker than expected and hence the guidance of the key policy rate being reduced by only 125bps through to Q2 2027 is likely to be much too cautious. This implies only reaching a neutral level for the policy rate by then although it is clear that neutral will be reached sooner and that the economy will likely need an accommodative stance. With the potential for global growth to be hit negatively by trade conflict we see downside risks to our NZD forecast profile. The levels also indicate further weakness in 1H 2025 as the RBNZ ends up cutting more than it anticipates and even more than implied by the current OIS pricing.

Economic growth has stalled for almost two years

NEW ZEALAND GDP GROWTH




*Source: Bloomberg, Macrobond*

# Canadian dollar

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/CAD | 1.4010 | 1.4400 | 1.4100 | 1.3900 | 1.3700 |
| CAD/JPY | 107.38 | 106.94 | 107.80 | 107.91 | 108.030 |
| EUR/CAD | 1.4781 | 1.4690 | 1.4810 | 1.4730 | 1.4800 |
| | | Range | Range | Range | Range |
| USD/CAD | | 1.3900-1.5100 | 1.3500-1.4700 | 1.3200-1.4400 | 1.3100-1.4300 |

## MARKET UPDATE

CAD depreciates

In November the Canadian dollar weakened against the US dollar in terms of London closing rates with USD/CAD rising from 1.3933 to 1.4010. The Bank of Canada did not meet in November and hence the key policy rate was unchanged at 3.75%, following four cuts in consecutive meetings totalling 125bps.

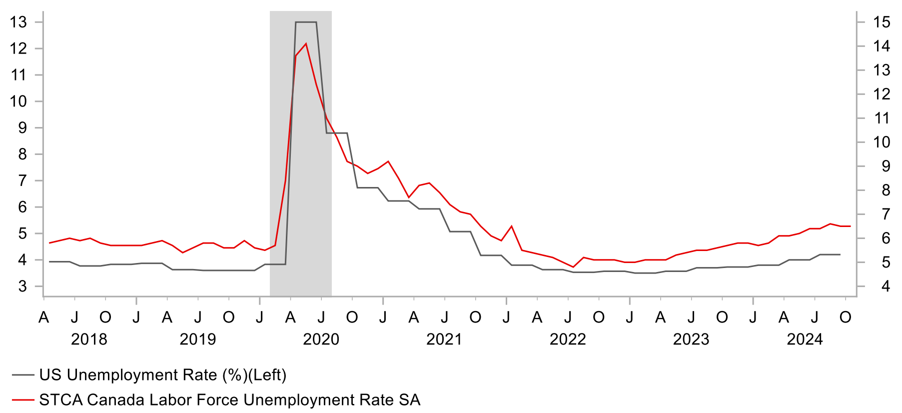
## OUTLOOK

Trump tariff risks will undermine performance initially

Like all G10 currencies, the Canadian dollar weakened against the US dollar in November in response to the victory for Donald Trump in the US election. Trade tariff policies will be a key driver of FX over the coming months as markets speculate and then Trump likely acts quickly after inauguration on 20th January. This became apparent after Trump announced he would implement a 25% tariff on all imports from Canada and Mexico and 10% on imports from China. Trump's focus was illegal drugs coming from China via Mexico and Canada and illegal immigrants. USD/CAD jumped 1.5% in response to Trump's comments and highlights the potential for trade policy uncertainty to fuel CAD volatility in 2025. However, CAD remains one of the best performing G10 currencies since the election and Trump's growth-supportive policies could be to the benefit of Canada as well given the tight interlinkages. Part of the resilience of CAD reflects some signs of economic recovery. The labour market saw 25.6k new jobs created in October after a huge 112k the previous month which helped fuel a pick-up in wage growth. Retail sales, ex-autos, jumped a hefty 0.9% m/m in September suggesting monetary easing and declining inflation is lifting consumer confidence. The signalling of Canada for immediate tariffs along with Mexico does point to upside risks for USD/CAD but we would see this as part of a negotiating process and still assume these levels of tariffs could not last long and for Canada at least a deal would be done resulting in USD/CAD declining.

More slack in Canada's labour market than in US encouraging faster BoC cuts

CANADA VS. US UNEMPLOYMENT RATE




*Source: Bloomberg, Macrobond*


MUFG

## Norwegian krone

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| EUR/NOK | 11.666 | 12.000 | 12.200 | 12.100 | 11.900 |
| USD/NOK | 11.058 | 11.765 | 11.619 | 11.415 | 11.019 |
| NOK/JPY | 13.605 | 13.090 | 13.080 | 13.140 | 13.430 |
| | | Range | Range | Range | Range |
| EUR/NOK | | 11.200-12.400 | 11.200-12.500 | 11.100-12.400 | 11.000-12.300 |

### MARKET UPDATE

Modestly stronger

In November the krone strengthened against the euro in terms of London closing rates from 11.963 to 11.666. The Norges Bank maintained the policy rate at 4.50%.

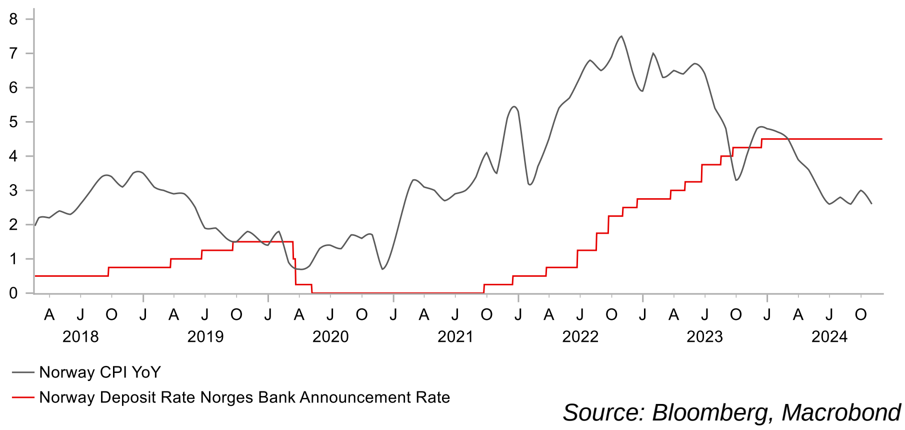
### OUTLOOK

Trump election victory tips the balance of risks more in favour of a weaker krone

The krone was one of the best performing G10 currencies in November when it weakened only modestly against the US dollar. The krone has initially proven more resilient to the US election victory for Donald Trump and the Republicans taking control of Congress. In contrast, the euro has been hit the hardest resulting in EUR/NOK dropping back towards the bottom its recent trading range between 11.600 and 12.000. However, we judge that risks from the US election outcome remain titled to the downside for the krone and are not convinced recent gains will be sustained. As we saw during Trump's first trade war between 2018 and 2019, the shift to more protectionist trade policies contributed to a slowdown in global growth. A further escalation in trade tensions appears likely under a second Trump presidency and there is a real risk it could prove even more disruptive for the global economy. A softening of global demand in response to Trump's tariffs will add to oversupply risks in the oil market in 2025 placing further downward pressure on the price of oil thereby creating an unfavourable external backdrop for krone performance in the year ahead. At the same time, we expect the Norges Bank to finally begin to cut rates from early next year. At their last policy meeting the Norges Bank reiterated that they will keep rates on hold at 4.50% this year and plan to cut rates from Q1 of next year. We expect the policy rate to be lowered towards 3.50% by the end of next year. The ongoing slowdown in inflation pressures in Norway is opening up room for the Norges Bank to lower rates. Core inflation fell further to 2.7% in October. A weaker krone could though potentially curtail how far the Norges Bank cuts rates next year.

Rate cuts to support growth amidst global economic challenges

NORWAY CPI VS. NORWAY POLICY RATE




*Source: Bloomberg, Macrobond*

# Swedish krona

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| EUR/SEK | 11.522 | 11.800 | 12.100 | 12.000 | 11.800 |
| USD/SEK | 10.921 | 11.569 | 11.524 | 11.321 | 10.9260 |
| SEK/JPY | 13.775 | 13.310 | 13.190 | 13.250 | 13.550 |
| | | Range | Range | Range | Range |
| EUR/SEK | | 11.200-12.000 | 11.200-12.400 | 11.100-12.300 | 11.000-12.100 |

## MARKET UPDATE

Marginally stronger

In November the krona strengthened marginally against the euro in terms of London closing rates from 11.600 to 11.522. The Riksbank lowered the repo rate by 0.50 point to 2.75%.

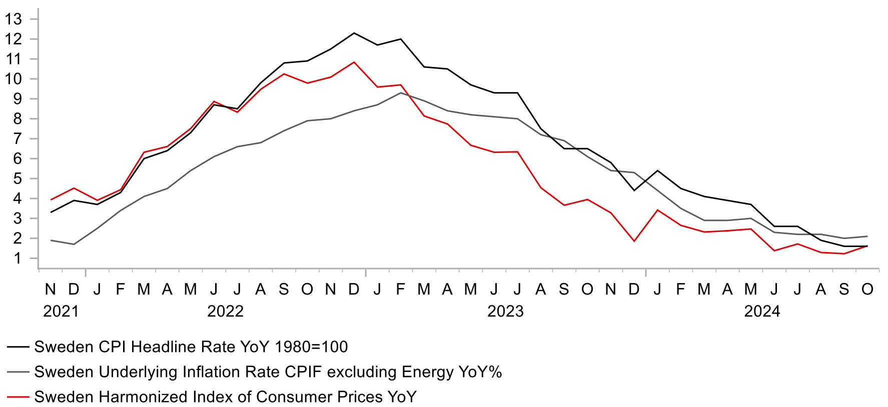
## OUTLOOK

Another Trump trade war has increased downside risks for SEK

The krona has been one of the worst performing G10 currencies in November alongside the euro. The krona, like the euro, has initially been hit harder by the US election victory for Donald Trump and the Republicans taking control of Congress. During Trump's first trade war between 2018 and 2019, the krona was the worst performing G10 currency. A further escalation in trade tensions appears likely under a second Trump presidency and there is a real risk it could prove even more disruptive for the global economy. As a small, open economy Sweden and the krona will be negatively impacted by another slowdown in global trade. Sweden's economy is already struggling to recover from the last negative energy price shock. The Riksbank's decision to deliver a larger 50bp cut in November reflected in part their disappointment that there are still few clear signs of economic recovery this year. To further support economic recovery, the Riksbank judged that the policy rate needed to be cut somewhat faster to help stabilize inflation close to target. The upward revision to growth in Q3 up to +0.3%Q/Q from an initially reported -0.1% will provide some relief. At the same time, inflation pressures are broadly in line with the Riksbank's target. CPIF excluding energy increased only marginally to 2.1% in October. The krona has been weaker than expected recently but the Riksbank judges that it has had limited impact on lifting inflation. Domestic currency weakness is not sufficient to prevent the Riskbank from continuing to cut rates. Further rate cuts have been flagged for December and during the first half of next year.

Slowing inflation leaves door open to further Riksbank rate cuts

### SWEDEN INFLATION MEASURES




*Source: Bloomberg, Macrobond*

# Swiss franc

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| EUR/CHF | 0.9305 | 0.9200 | 0.9200 | 0.9300 | 0.9400 |
| USD/CHF | 0.8820 | 0.9020 | 0.8760 | 0.8770 | 0.8700 |
| CHF/JPY | 170.57 | 170.70 | 173.50 | 171.00 | 170.00 |
| | | Range | Range | Range | Range |
| EUR/CHF | | 0.9100-0.9600 | 0.9000-0.9700 | 0.9000-0.9800 | 0.8900-0.9900 |

## MARKET UPDATE

Marginally stronger

In November the Swiss franc strengthened versus the euro in terms of London closing rates moving from 0.9392 to 0.9305. The SNB did not meet in November and hence the key policy rate was unchanged at 1.00%, following 75bps of cuts this year.

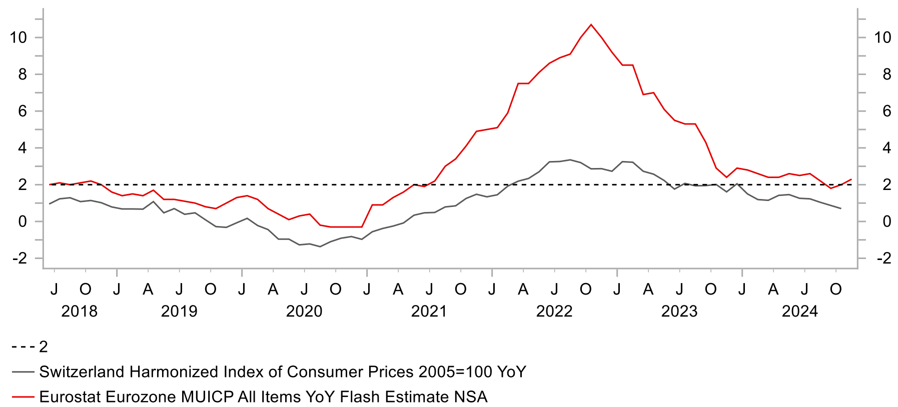
## OUTLOOK

Modest moves with CHF remaining at strong levels

The Swiss franc strengthened modestly further against the euro in November with the election victory for Donald Trump elevating the risks for global growth and in particular growth in the euro-zone from probable trade tariffs next year. The prospect of this damaging growth in the euro-zone and given the worsening economic data has seen investors price in more aggressive rate cuts from the ECB over the coming 12 months. The market now expects close to 160bps of cuts from the ECB with the SNB constrained by the lower bound meaning only about 80bps of cuts expected by the SNB. Switzerland is a small very open economy and hence will be impacted by a trade war as well. The US is Switzerland's top export destination with exports accounting for 7.5% of GDP. Furthermore, Germany and China are the next largest destinations accounting for a further combined 11% of GDP. Both Germany and China could suffer notably from a tariff war. Hence, there is an increasing risk that the SNB will have to consider moving its key policy rate back below zero percent. Inflation continues to fall faster than the SNB expected with the annual CPI rate now at just 0.6%. The SNB projection in September was for a Q4 average of 1.0% with the Q2 2027 level at 0.6%. Without negative rates, the level of the real policy rate could move higher if inflation falls further with resulting CHF strength putting further downward pressure on inflation. The real effective exchange rate of the franc is elevated and intervention will become more likely at stronger levels. For now though given the global backdrop, continued franc strength seems highly likely.

Inflation falls faster than expected

SNB INFLATION VS. EZ INFLATION RATE




*Source: Bloomberg, Macrobond*

# Czech koruna

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| EUR/CZK | 25.240 | 25.600 | 25.800 | 25.900 | 25.700 |
| USD/CZK | 23.924 | 25.100 | 24.570 | 24.430 | 23.800 |
| CZK/JPY | 6.2882 | 6.1360 | 6.1860 | 6.1390 | 6.2190 |
| | | Range | Range | Range | Range |
| EUR/CZK | | 24.750-26.500 | 25.000-26.750 | 25.000-26.800 | 24.750-26.600 |

## MARKET UPDATE

Marginally stronger

In November the Czech koruna strengthened marginally against the euro in terms of London closing rates from 25.310 to 25.240. The Czech National Bank (CNB) lowered the two-week repurchase rate by 0.25 point to 4.00%.

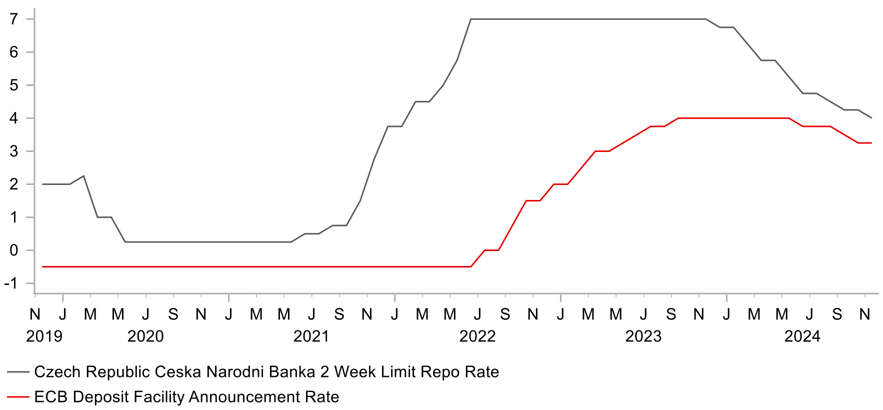
## OUTLOOK

Trump election victory adds to downside risks for the CZK

The koruna has weakened alongside the euro in November following the US election victory for Donald Trump. European currencies including the koruna have been hit hard initially reflecting fears that the incoming Trump administration will implement significant tariff hikes on imports from the EU. A shift to more disruptive US trade policies will create an additional headwind to growth in Europe especially if tariffs are hiked on the EU directly. The Czech economy has been recovering gradually so far this year leaving it vulnerable to another negative external shock. The weak growth outlook was one reason why the CNB continued to lower rates in November despite the recent pick-up in inflation in the Czech Republic. The CNB raised their forecast for headline inflation in Q4 up to 3.0% from 2.3% set back in August. The CNB remains optimistic though that GDP growth can strengthen further to 2.4% next year from 1.0% this year. The updated economic forecasts are based on the assumption that the policy rate will be lowered further towards 3.00% by the end of next year. Governor Michl has been striking a more hawkish tone recently emphasizing that they will approach future easing with “great caution, and, if appropriate, to pause the interest rate reduction process”. The CNB is now expected to deliver fewer further rate cuts than the ECB providing more support for the koruna against the euro. However, the koruna has been undermined by escalating geopolitical tensions between Russia and the West after Ukraine was allowed to use long range missiles. Tensions are expected to ease back after Trump becomes president next year.

CNB is no longer cutting rates more quickly than ECB

CNB VS. ECB POLICY RATES




*Source: Bloomberg, Macrobond*

# Hungarian forint

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| EUR/HUF | 412.71 | 417.00 | 420.00 | 422.00 | 425.00 |
| USD/HUF | 391.19 | 408.80 | 400.00 | 398.10 | 393.50 |
| HUF/JPY | 0.3846 | 0.3770 | 0.3800 | 0.3770 | 0.3760 |
| | | Range | Range | Range | Range |
| EUR/HUF | | 402.00-430.00 | 404.00-435.00 | 406.00-440.00 | 406.00-442.00 |

## MARKET UPDATE

Weaker

In November the Hungarian forint weakened against the euro in terms of London closing rates moving from 407.95 to 412.71. The National Bank of Hungary (NBH) held the base rate at 6.50%.

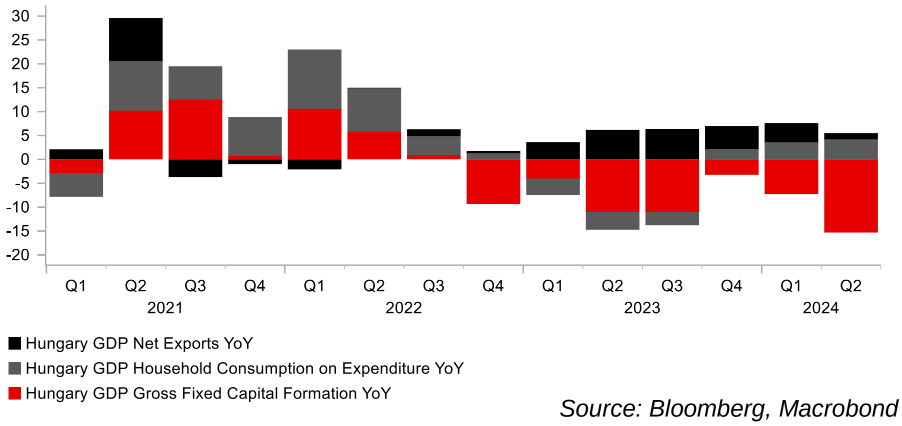
## OUTLOOK

Risks remain tilted to downside for HUF

The forint has continued to weaken in November alongside other European currencies following the US election victory for Donald Trump. It has helped to lift EUR/HUF back above the 410.00-level for the first time since the end of 2022. The sharp weakening of the forint alongside other European currencies reflects fears that the incoming Trump administration will start a trade war with the EU by significantly raising tariffs by 10-20% on goods imports. It would create an additional headwind to economic recovery in Europe where growth is already weak. Hungary's economy unexpectedly contracted by -0.7% in Q3 following a -0.1% contraction in Q2. It leaves Hungary's economy on track to expand by between 0.5-1.0% in 2024. Hungary's Economy Minister Nagy has described the NBH's policy rate as too high with the current 3.0% real policy rate "not justifiable". Those comments will add to concerns amongst market participants that the NBH will come under more pressure in the year ahead to loosen policy to provide more support for growth in the run up to the parliamentary elections in 2026. We expect the government to step up fiscal support as well next year at the expanse of budget consolidation. The forint has already weakened in recent months to price in a higher risk premium. If fiscal and monetary policies are set too loose it will pose upside risks to the inflation outlook in Hungary. The NBH has paused their rate cut cycle and signalled that they are ready to leave policy unchanged for a sustained period. Governor Matolcsy's term ends in March of next year and will be replaced by Finance Minister Varga, adding to uncertainty.

GDP data highlights weak growth with contractions in key sectors

REAL GDP GROWTH BY COMPOSITION




*Source: Bloomberg, Macrobond*

## Polish zloty

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| EUR/PLN | 4.2902 | 4.3500 | 4.4000 | 4.4500 | 4.4000 |
| USD/PLN | 4.0665 | 4.2650 | 4.1900 | 4.1980 | 4.0740 |
| PLN/JPY | 36.995 | 36.110 | 36.270 | 35.730 | 36.330 |
| | | Range | Range | Range | Range |
| EUR/PLN | | 4.2300-4.5000 | 4.2500-4.5400 | 4.2700-4.5800 | 4.2700-4.6000 |

### MARKET UPDATE

Modestly stronger

In November the Polish zloty strengthened modestly against the euro in terms of London closing rates from 4.3510 to 4.2902. The National Bank of Poland (NBP) held the seven-day reference at 5.75%.

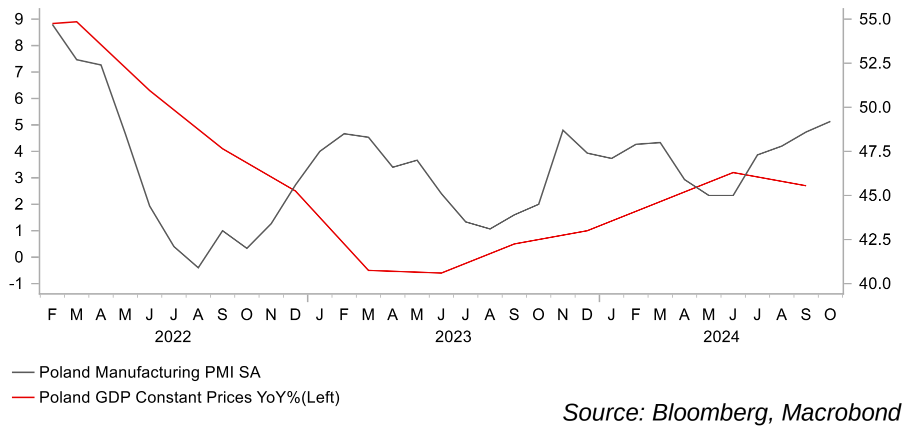
### OUTLOOK

Trump tariff risks to weigh on zloty

The zloty has weakened in November alongside other European currencies following the US election victory for Donald Trump. It helped to lift EUR/PLN briefly back above the top of this year's trading range between 4.2500 and 4.3500. Zloty weakness and the broad-based sell-off for European currencies reflects fears that the incoming Trump administration will start a trade war with the EU. President-elect Trump has threatened to implement a 10-20% tariff on all imports from major trading partners of the US including the EU. More disruptive trade policies will create an additional headwind to growth in Europe especially if the EU is hit by tariff hikes. External risks are putting a dampener on optimism over a stronger economic recovery in Poland. Recent economic data releases from Poland have already revealed that growth momentum was not as strong as expected. Poland's economy unexpectedly contracted again by -0.2% in Q3 following a downwardly revised expansion of +1.2% in Q2. The NBP still expects GDP to expand by between 2.3% and 3.1% this year, and between 2.4% and 4.3% next year. One positive for Poland's economy has been comments from Prime Minister Tusk stating that household power prices will be frozen for nine months of next year. It would help to dampen headline inflation and create more room for the NBP to lower rates. The NBP have indicated that they are planning to begin cutting rates from early next year with the March meeting expected to be earliest point. Escalating tensions between Russia and the West pose downside risks for the zloty but are expected to ease after Trump becomes president.

Poland growth optimism has been dampened

POLAND GDP YOY VS. MANUFACTURING PMI




*Source: Bloomberg, Macrobond*

# Romanian leu

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| EUR/RON | 4.9742 | 4.9800 | 5.0100 | 5.0400 | 5.0700 |
| USD/RON | 4.7149 | 4.8820 | 4.7710 | 4.7550 | 4.6940 |
| RON/JPY | 31.907 | 31.540 | 31.860 | 31.550 | 31.530 |
| | | Range | Range | Range | Range |
| EUR/RON | | 4.9500-5.0000 | 4.9500-5.0200 | 4.9600-5.0600 | 4.9800-5.0800 |

## MARKET UPDATE

Marginally weaker

In November, the Romanian leu weakened marginally against the euro in terms of London closing rates moving from 4.9721 to 4.9742. The NBR maintained the policy rate at 6.50%.

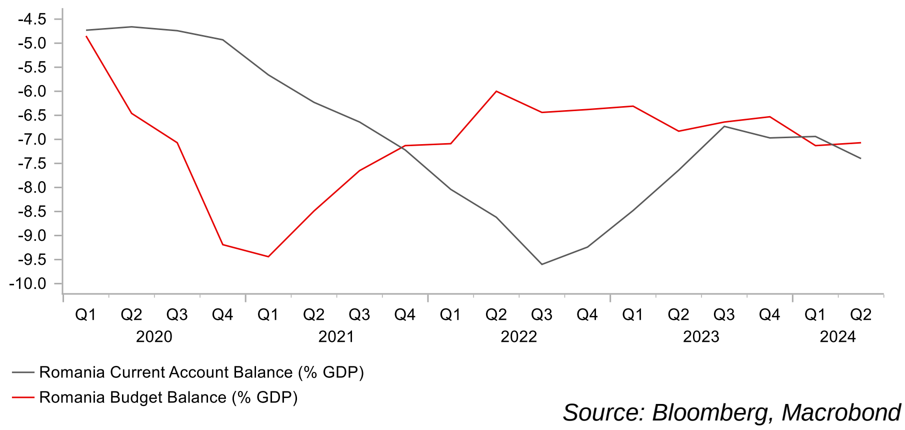
## OUTLOOK

Leu to weaken as inflation slows further & domestic policymakers allow more flexibility in 2025

The leu has continued to trade within a narrow range against the euro in November. For most of this year, the pair has traded between 4.9700 and 4.9800. Any move to the upside or downside has proven to be short-lived highlighting that the leu remains a more tightly controlled currency in comparison to other regional currencies. Even the recent US election result failed to trigger a pick-up in leu volatility. The leu has weakened alongside other European currencies to reflect fears over a trade war between the EU and US. President-elect Trump has pledged to impose significant tariff hikes of between 10-20% on major trading partners. More disruptive trade policies especially if the EU is hit by tariff hikes will create another headwind to growth in Europe. The European Commission recently cut their growth forecast for Romania's economy even before trade tariffs are implemented on the back of sluggish external demand. Real GDP is now expected to grow by 1.4% this year down from 3.3% expected back in May. The European Commission expect growth to pick up further next year to 2.5%. At the same time, weak external demand is expected to widen Romania's current account deficit to just over 8% of GDP. Similarly, the budget deficit is on track to reach around 8% of GDP as well. The widening twin deficits remain a key reason why we believe that domestic policymakers should allow the leu to weaken more. In other domestic developments, Calin Georgescu who was a little-known pro-Russia politician has surprisingly won the first round of Romania's Presidential election adding to political uncertainty.

Weaker leu would help to rebalance Romania's economy

ROMANIA'S TWIN DEFICITS




*Source: Bloomberg, Macrobond*

# Russian rouble

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/RUB | 107.32 | 113.97 | 117.36 | 121.71 | 125.48 |
| EUR/RUB | 113.22 | 116.25 | 123.23 | 129.02 | 135.52 |
| RUB/JPY | 1.4019 | 1.3510 | 1.2950 | 1.2320 | 1.1790 |
| | | Range | Range | Range | Range |
| USD/RUB | | 100.00-120.00 | 102.00-125.00 | 104.00-130.00 | 105.00-135.00 |

## MARKET UPDATE

Sharply weaker

In November the Russian rouble weakened sharply against the US dollar in terms of London closing rates from 96.804 to 107.315. The Central Bank of the Russian Federation (CBR) maintained the key policy rate at 21.00%.

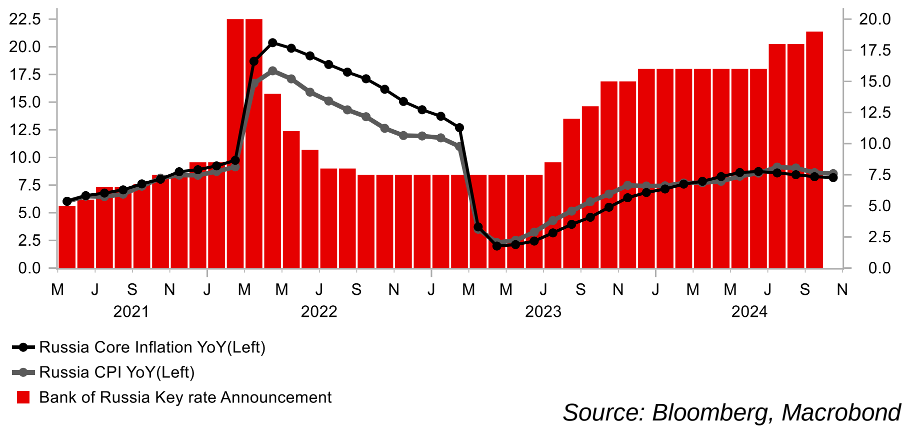
## OUTLOOK

Rouble to weaken further

The rouble has been by far the worst performing emerging market currency in November. The rouble sell-off accelerated after USD/RUB moved above the highs from last autumn and hit a high of 114.71 on 27th November. It was the weakest level for the rouble since just after Russia's invasion of Ukraine in early 2022. Geopolitical tensions between Russia and the West have escalated after the US allowed Ukraine to hit Russian territory with long range missiles. The Biden administration has also ratcheted up sanctions on Russia including hitting Gazprombank which was the last major unsanctioned bank. It had been carved out of previous sanction rounds to allow allies in Europe to pay Russia for critical supplies of energy. It was a vital conduit for inflows of hard currency in exchange for Russia's exports disrupting Russia's foreign trade and access to foreign currency. Turkey said it would talk to the US to try to secure a waiver so it can continue paying Gazprombank for natural gas imports from Russia. Hungary has also indicated it is looking for solutions to keep paying for Russian gas. The sharp weakening of the rouble prompted the CBR to announce that it would stop buying foreign currency for the rest of the year to help alleviate a critical shortage of hard currency. The CBR is also expected to deliver bigger rate hikes in an attempt to stabilize the rouble and dampen upside inflation risks even if it triggers a sharper economic slowdown. The CBR is already facing building inflation pressures from the negative labour supply shock combined with the boost to demand from defence spending.

CBR to hike rates further to dampen upside inflation risks

### CBR POLICY RATE VS. INFLATION




*Source: Bloomberg, Macrobond*

# South African rand

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/ZAR | 18.039 | 18.500 | 18.750 | 19.000 | 18.750 |
| ZAR/JPY | 8.3397 | 8.3240 | 8.1070 | 7.8950 | 7.8930 |
| EUR/ZAR | 19.031 | 18.870 | 19.690 | 20.140 | 20.250 |
| | | Range | Range | Range | Range |
| USD/ZAR | | 17.750-19.750 | 18.000-20.000 | 18.250-20.250 | 18.000-20.000 |

## MARKET UPDATE

Weaker

In November the South African rand weakened against the US dollar in terms of London closing rates from 17.640 to 18.039. The SARB lowered the key policy rate by 0.25 point to 7.75%.

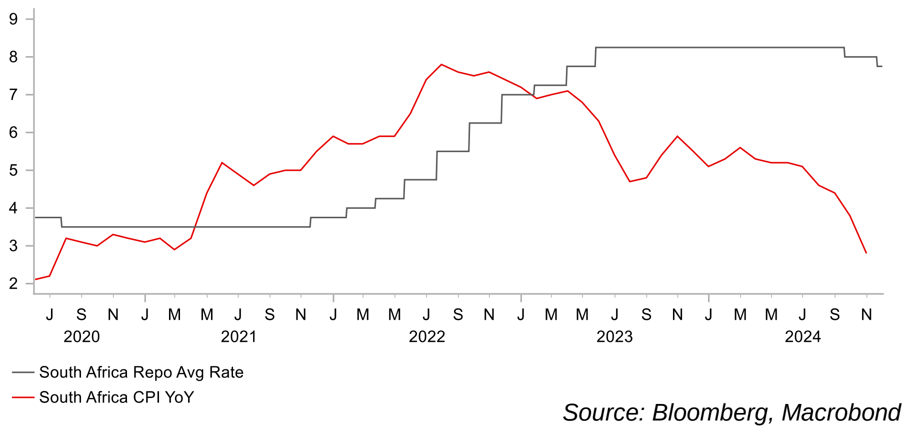
## OUTLOOK

Trump trade risks to encourage weaker rand providing offset to improving domestic developments

The rand has weakened in November alongside other emerging market currencies following the US election victory for Donald Trump. It has resulted in USD/ZAR giving back the strong gains recorded over the summer. Rand weakness reflects fears that the incoming Trump administration will have a negative impact on the outlook for global growth. President-elect Trump has already threatened to implement significant tariff hikes on Canada, China and Mexico on his first day in office. Disruptive trade policies contributed to a slowdown in global growth during Trump's first term between 2018 and 2019 – a period when commodity prices and related currencies such as the rand underperformed. Downside risks could be even greater this time around if the tariffs implemented prove to be larger and more broad-based and met by retaliation from major trading partners of the US. At the same time, the US dollar and US yields could remain higher for longer encouraged by the Fed slowing the pace of rate cuts in response to upside inflation risks from Trump's policy agenda. The negative external developments are providing an offset to ongoing investor optimism over the outlook for growth in South Africa under the new national unity coalition government. The SARB expects GDP growth to pick up to 1.7% next year from around 1.0% this year. Business confidence has risen to its highest levels since Q1 2022 boosted by political stability and the improving electricity supply. Another positive domestic development has been the slowdown in inflation to 2.8% in October although the SARB is still relatively cautious over how much further rates can be cut.

SARB remains cautious over cutting rates even as inflation has slowed

SOUTH AFRICA POLICY RATE VS. INFLATION




*Source: Bloomberg, Macrobond*

# Turkish lira

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/TRY | 34.690 | 37.500 | 40.000 | 41.500 | 42.500 |
| EUR/TRY | 36.598 | 38.250 | 42.000 | 43.990 | 45.900 |
| TRY/JPY | 4.3366 | 4.1100 | 3.8000 | 3.6100 | 3.4800 |
| | | Range | Range | Range | Range |
| USD/TRY | | 34.000-39.000 | 34.250-41.000 | 34.500-43.000 | 34.750-44.000 |

## MARKET UPDATE

Weaker

In November the Turkish lira weakened marginally against the US dollar in terms of London closing rates from 34.266 to 34.690. The Central Bank of Turkey (CBRT) held the one-week repo at 50.00%.

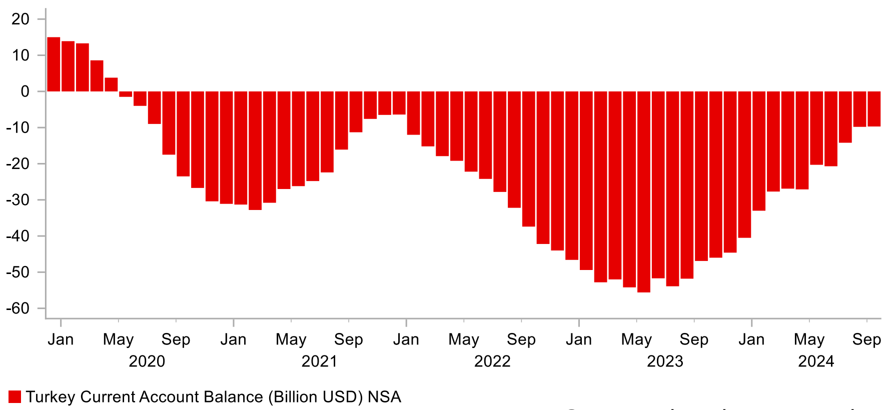
## OUTLOOK

Slower pace of TRY depreciation threatened by fallout from second Trump presidency

The pace of lira depreciation has picked up again in November following the US election victory for Donald Trump. So far this year the lira has depreciated by an annualized rate of around 16% against the US dollar which represents a marked slowdown after last year's decline of around 37%. We expect the slower pace of depreciation to continue in the year ahead providing an offset to high inflation that is eroding Turkey's external competitiveness. However, the election victory for Donald Trump has increased the risk that the lira may need to weaken at a faster pace. President-elect Trump's policy agenda including implementing significant tariff hikes on major trading partners and tighter immigration are encouraging a stronger US dollar and could curtail the Fed's ability to keep lowering rates thereby creating a more challenging external backdrop for the lira. One supportive factor could be Trump's desire to lower the price of oil which would help to further narrow Turkey's current account deficit. The marked improvement in Turkey's current account deficit to around 1% of GDP was a reason alongside FX reserve accumulation and disinflation cited by S&P for upgrading Turkey's credit rating to BB-. The implementation of tighter monetary and fiscal policies are helping to slow growth and inflation in Turkey. Real GDP growth slowed to an annual rate of 2.5% in Q3 while headline inflation slowing to 48.6% in October. The progress in fighting inflation prompted the CBRT to signal at their last policy meeting that they may begin to cut rates before the end of this year.

Sharp improvement in Turkey's external balance

TURKEY'S CURRENT ACCOUNT BALANCE




*Source: Bloomberg, Macrobond*

## Indian rupee

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/INR | 84.490 | 85.200 | 85.500 | 85.700 | 86.000 |
| INR/JPY | 1.7806 | 1.8080 | 1.7780 | 1.7500 | 1.7210 |
| EUR/INR | 89.137 | 86.900 | 89.780 | 90.840 | 92.880 |
| | | Range | Range | Range | Range |
| USD/INR | | 84.000-86.000 | 84.500-86.500 | 84.500-86.500 | 85.000-87.000 |

### MARKET UPDATE

INR was weaker against the US dollar in November with Trump winning the US election, although outperformed relative to other Asian FX

In November, the Indian rupee was weaker against the US dollar from 84.080 to 84.490. The currency softened by less relative to other Asian FX with a 2nd Trump Presidency, and was also capped by aggressive RBI FX intervention. The RBI kept rates on hold at 6.50% at its October meeting but changed its stance to neutral.

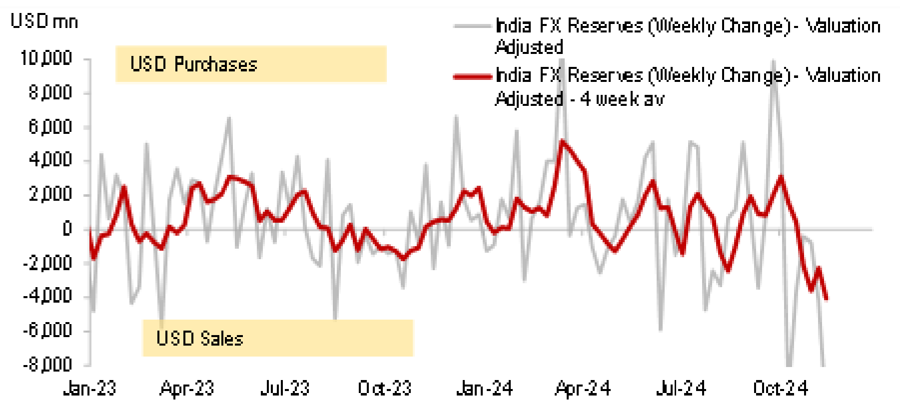
### OUTLOOK

We now forecast USD/INR to rise steadily towards the 86.000-level by Q4 2025. INR should still outperform Asian FX in 1H 2025 in an environment of swift tariff increases, but domestic factors are now less supportive

We now forecast USD/INR to rise steadily towards the 86.000-level by Q4 2025. INR should still outperform Asian FX in 1H 2025 in an environment of swift tariff increases by Trump 2.0 as per our expectations, and especially against the likes of CNY, KRW, THB, MYR and SGD. Nonetheless, this outperformance should reverse as dollar strength moderates in 2H 2025. Part of the driver behind our INR FX forecast change is a less benign domestic growth environment, which could weigh further on portfolio inflows. We have been flagging the likelihood of a moderation in growth but recent Q3 GDP data came in much lower than we or even the RBI had anticipated. The good news on India's growth is that Q3 should mark the trough of economic activity, with high frequency indicators pointing to an improvement in activity, helped by a rural economy recovery and faster disbursement of government spending. The bad news on growth is that elevated food inflation, and with that a likely near-term delay in RBI's rate cuts, coupled with RBI's bevy of macroprudential measures on consumer loans should continue to weigh on growth. We now expect RBI to cut rates by 75bps this cycle starting from the February meeting, from our previous expectation of 50bps cuts. We stress that we are not overly bearish on INR. For one, the possibility of Indian government bonds being added to the Bloomberg Global Agg Index could imply US$10-15bn of incremental flows. The current account deficit is also manageable at around 1.2% of GDP.

We expect RBI to continue intervening on both sides of the FX market and hence cap INR weakness

RBI CONTINUES TO INTERVENE AGGRESSIVELY TO CAP INR WEAKNESS




Source: Bloomberg, CEIC, MUFG

# Indonesian rupiah

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/IDR | 15843 | 16250 | 16210 | 16170 | 16100 |
| IDR/JPY(100) | 0.9496 | 0.9480 | 0.9380 | 0.9280 | 0.9190 |
| EUR/IDR | 16714 | 16580 | 17020 | 17140 | 17390 |
| | | Range | Range | Range | Range |
| USD/IDR | | 15500-16500 | 15500-16500 | 15400-16400 | 15300-16300 |

## MARKET UPDATE

IDR weakened against the USD in November after Trump election victory

In November the Indonesian rupiah weakened to 15,843 against the US dollar from 15,700 in October, as the US dollar strengthened broadly following Trump's election victory. BI held the policy rate at 6.00% in November, unchanged from October and after a 25bps rate cut in September.

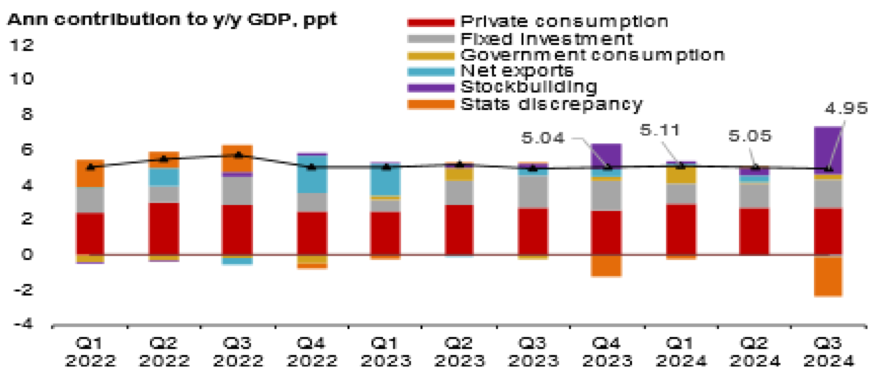
## OUTLOOK

We forecast USD/IDR to end this year at 15,900, before rising to 16,250 in Q1 2025. Market sentiment has become cautious amid looming tariff risks, while BI could resume cutting the policy rate again as growth slows.

"Trump trades" appear to have stalled for now, with the US dollar index (DXY) retreating from a high of 108.00 and the US 10-year bond yield falling below end-October levels after touching a high of 4.50%. However, this has not helped the rupiah much. We maintain our forecast for USD/IDR to rise to 16,250 in Q1 2025. Indeed, market sentiment in the Asia region has become cautious on looming tariff risks following Trump's election victory. Notably, Indonesia's 10-year government bond yield has risen to 6.9% from 6.8%, with the bond market seeing net foreign outflows of US$810mn, recording the first monthly net outflows since April 2024. Indonesia's GDP growth also slowed to 4.95%yoy in Q3, from 5.05% in Q2. On a sequential basis, we estimate that growth slowed to 0.9%qoq in Q3 from 1.4%qoq in Q2. Consumer and business lending has softened, the manufacturing PMI has slipped into contractionary territory since July, and the consumer confidence index inched lower to 121.1 in October from 123.5 in September. The October trade surplus also narrowed to US$2.5bn in October from US$3.3bn. We still expect the BI to resume cutting rates by 25bps in December amid slowing growth. A second phase of further US dollar strength is likely to come if Trump raises tariffs on China. While Indonesia's economy is domestic oriented, it still faces the risk of lower China demand, given its deepening supply chain linkages with China, and disruption to global trade.

Indonesia's economy has weakened

INDONESIA'S GDP GROWTH SLOWED TO 4.95%YOY IN Q3




Source: CEIC, MUFG GMR

# Malaysian ringgit

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/MYR | 4.4425 | 4.5700 | 4.5500 | 4.5200 | 4.4800 |
| MYR/JPY | 33.864 | 33.700 | 33.410 | 33.190 | 33.040 |
| EUR/MYR | 4.6868 | 4.6610 | 4.7780 | 4.7910 | 4.8380 |
| | | Range | Range | Range | Range |
| USD/MYR | | 4.2000-4.8000 | 4.2000-4.8000 | 4.1500-4.7500 | 4.1000-4.7000 |

## MARKET UPDATE

MYR weakened against the USD in November after Trump's victory

In November the ringgit weakened to 4.4425 against the US dollar from 4.3780 in October, as the US dollar strengthened broadly following Trump's election victory. BNM held its overnight policy rate at 3.00% in November.

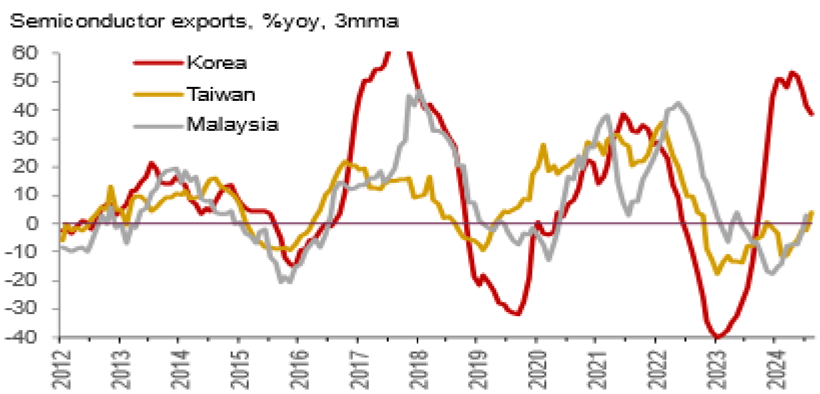
## OUTLOOK

We forecast USD/MYR to rise to 4.5700 in Q1 2025, as we expect US to raise tariffs on China. MYR is relatively more vulnerable to tariffs on China, given its high export exposure to the Chinese market and its high sensitivity to CNY movement.

"Trump trades" appear to have stalled for now, with the US dollar index (DXY) retreating from a high of 108.00 and the US 10-year bond yield falling below end-October levels after touching a high of 4.50%. However, we maintain our forecast for USD/MYR to rise to 4.5700 in Q1 2025 on the back of potential US tariff hike announcements before some modest reprieve in the subsequent quarters. A second phase of further US dollar strength is likely to come if Trump raises tariffs on China. It's likely that some form of tariffs are in the pipeline. This would lead to renewed external pressures on the ringgit. Given Malaysia's high export exposure to the Chinese market, the ringgit would be negatively impacted. We estimate that a 60% tariff on China could cut Malaysia's GDP growth by about 1ppt in 2025 via lower trade and investment. Moreover, the ringgit's movement is highly correlated with that of the CNY. CNY could depreciate sharply in response to higher tariffs, as we have seen during the 2018-2019 trade war, resulting in huge negative spillover effects on MYR. There will be ringgit headwinds heading into 2025, but there are also some offseting factors. We think a further narrowing of interest rate differentials versus advanced economies can provide some offset. Domestic strutural reforms, including moving up the manufacturing value chain and fiscal consolidation, along with encouraging foreign inflows, will also be supportive of the ringgit. Meanwhile, the AI-driven global tech upturn will have positive spillover effects on Malaysia's chip exports.

Malaysia's chip exports have improved, supported by the global tech upturn

MALAYSIA'S CHIP EXPORTS TO BENEFIT FROM GLOBAL TECH UPTURN




*Source: CEIC, MoF, MUFG GMR*

# Philippine peso

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/PHP | 58.592 | 59.700 | 59.300 | 59.000 | 58.800 |
| PHP/JPY | 2.5676 | 2.5800 | 2.5630 | 2.5420 | 2.5170 |
| EUR/PHP | 61.815 | 60.890 | 62.270 | 62.540 | 63.500 |
| | | Range | Range | Range | Range |
| USD/PHP | | 57.000-61.000 | 56.700-60.700 | 56.400-60.400 | 56.100-60.100 |

## MARKET UPDATE

The PHP weakened against the US dollar in November with Trump 2.0

In November, the Philippine peso weakened against the US dollar, moving from 58.094 to 58.592 following the US election result. The Philippines central bank cut its policy rate by another 25bps at its October policy meeting, bringing it to 6.00%. The key message remains that gradual rate cuts into 2025 is the path of least resistance.

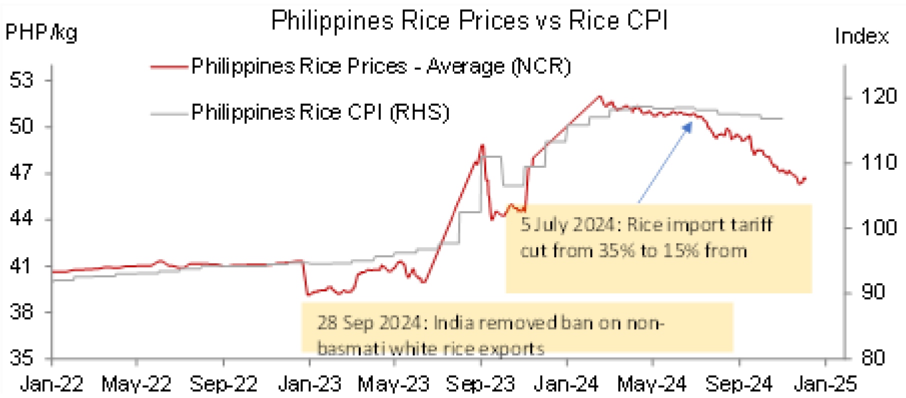
## OUTLOOK

We expect USD/PHP to trade closer to the 60.000 levels in 1H 2025 with tariff risks and a strong Dollar before coming off in 2H 2025. We think PHP can outperform the likes of CNY, THB, MYR and KRW given our assumption for quick announcement of tariffs

We have previously updated our USD/PHP forecasts together with our global team post the Trump victory, and we now expect USD/PHP at 59.700 in Q1 2025 as the dollar strengthens before seeing some relief in 2H 2025. Our assumption is that Trump will be much faster and broader in the tariffs this time around, and the incremental nominations and news fit in well with that expectation. In that context, we think PHP while weakening against the dollar is unlikely to be as badly affected relative to the likes of CNY, THB, MYR and KRW. This is because it is a domestic oriented economy and also less leveraged to global and Chinese growth, notwithstanding its decently sized semiconductor testing and assembly industry. The Philippines could nonetheless be negatively impacted through Trump's policies to deport illegal immigrants with remittances from the US making up 3% of GDP. Our assessment is that the vast majority of immigrants from the Philippines to the US are permanent residents and hence the direct impact to remittances should be manageable. Domestically, the good news is that rice prices have continued to come off, with the latest high frequency data showing average rice prices dropping from a peak of above PHP50/kg to around PHP47/kg. With the Filipino's voracious appetite for rice, this means that inflation should continue to come off, and provide space for BSP to cut rates gradually in 2025 even as the Fed is likely to slow rate cuts.

Average rice prices continue to moderate based on high frequency data points. This should mean continued disinflation and provide further space for gradual BSP rate cuts

RICE PRICES IN THE PHILIPPINES CONTINUE TO MODERATE




Source: : Bloomberg, CEIC, MUFG GMR

# Singapore dollar

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/SGD | 1.3418 | 1.3800 | 1.3750 | 1.3700 | 1.3650 |
| SGD/JPY | 112.12 | 111.59 | 110.55 | 109.49 | 108.42 |
| SGD/MYR | 3.3109 | 3.3120 | 3.3090 | 3.2990 | 3.2820 |
| | | Range | Range | Range | Range |
| USD/SGD | | 1.3500-1.4200 | 1.3400-1.4100 | 1.3300-1.4000 | 1.3200-1.3900 |

## MARKET UPDATE

SGD weakened against the US dollar in November after Trump victory.

In November the Singapore dollar weakened to 1.3418 against the US dollar from 1.3215 in October, as the US dollar strengthened following Trump's election victory. Our S$NEER estimate weakened 0.4% during November and was 0.5% above the midpoint of the policy band. The MAS kept its tight policy setting unchanged at its October quarterly meeting.

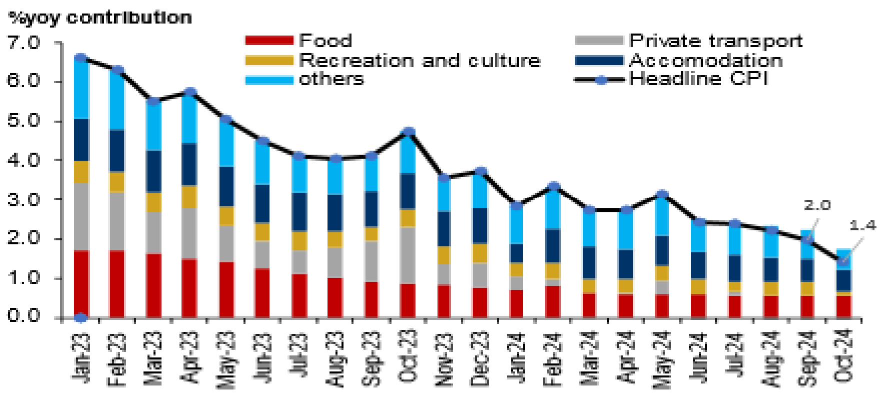
## OUTLOOK

We forecast USD/SGD to rise to 1.3800 in Q1 2025, as SGD is highly vulnerable to US tariff hikes. Trade accounts for about three times of Singapore's economy.

We maintain our forecast for USD/SGD to rise to 1.3800 in Q1 2025 on the back of likely higher US tariffs. Global trade uncertainties are now higher than before the US election, given the potential for escalating trade tensions under the incoming Trump administration. A likely unified front in Trump's government could lead to a more aggressive stance on China that moves beyond just trade into other conflict areas such as tech and finance. In the event Trump goes to the extremes by imposing 60% tariff on imports from China and 10% on imports from all other countries, we could see Singapore's growth slowing to 2% in 2025. For now, economic growth has picked up strongly in Singapore. GDP grew 5.4%yoy in Q3, mainly driven by manufacturing (+11%yoy). But the outlook for growth is tilted to the downside. Meanwhile, Singapore's disinflationary trend has been well-entrenched, with core CPI (ex-private transport and accommodation) moderating to 2.1%yoy in October from 2.8%yoy in September. The pace of disinflation was faster than our expectation of 2.5%, reinforcing our view that the MAS will likely ease its tight policy setting in January 2025. The deceleration in price gains was mainly due to easing inflation in services, electricity and gas, retail, and other goods. Meanwhile, headline inflation eased to 1.4%yoy in October, from 2% in September. We expect MAS to ease its exchange rate policy in January, which would remove a layer of support for the SGD.

Significant progress has been made on inflation

### HEADLINE INFLATION EASED TO 1.4%YOY IN OCTOBER




Source: Bloomberg, CEIC, MUFG GMR

# South Korean won

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/KRW | 1398.0 | 1430.0 | 1450.0 | 1450.0 | 1440.0 |
| JPY/KRW | 9.2925 | 9.2900 | 9.5400 | 9.6700 | 9.7300 |
| EUR/KRW | 1474.9 | 1458.6 | 1522.5 | 1537.0 | 1555.2 |
| | | Range | Range | Range | Range |
| USD/KRW | | 1370.0-1470.0 | 1390.0-1490.0 | 1390.0-1490.0 | 1380.0-1480.0 |

## MARKET UPDATE

KRW continued to weaken

In November, USD/KRW moved from 1376.3 to 1398.0. On November 28th, the BoK cut its base rate by 25bps, from 3.25% to 3.00%. Four out of six MPC members excluding Governor Rhee voted for the cut. Looking ahead, three out of those six members are open to another cut in next three months, while the other three prefer holding the rate steady.

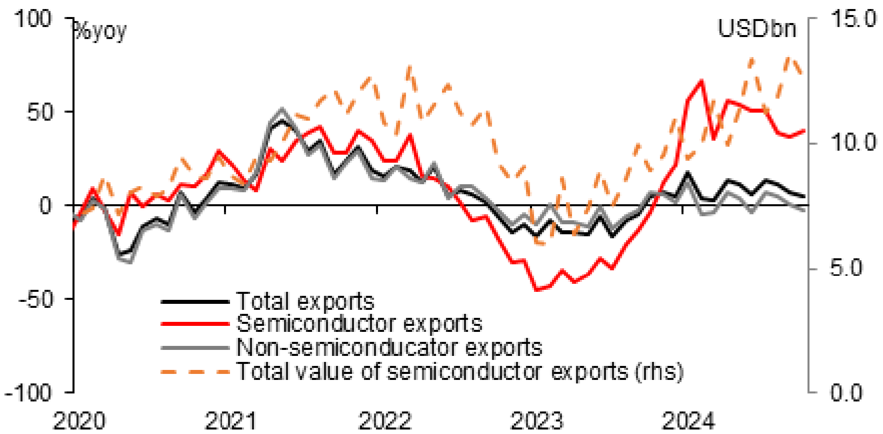
## OUTLOOK

Depreciation pressure likely persists on KRW

The BoK's 25bps policy rate cut on November 28th was a surprise, indicating BoK's strong concern on its economic development. As indicated in the monetary policy decision communication, the BoK expected exports growth to come below initial expectations due to intensified competition in major industries and a potential rise in global trade protectionism due to the new US administration. The BoK also adjusted the growth forecasts lower to 2.2% for this year and 1.9% for next year, from August projections of 2.4% and 2.1% respectively. Recent data did show weak economic performance: October unemployment rate edged up to 2.7% from prior 2.5%, consumer confidence declined to 100.7 in November from October's 101.7. Although first 20 days exports in November improved to 5.8%yoy after a decline in growth of exports in full October, the lower business survey of manufacturing for December (66 vs. 77 in November) doesn't indicate a good picture for exports in the near term neither. KRW weakened by about 1.3% in November, amid a 1.9% strengthening of the dollar, and we expect it will remain under pressure which might increase the odds of intervention by the BoK. The government has various tools to stabilize the FX market, including using the national pension service to increase FX swap agreements, FX reserves, and working with the government to mitigate FX volatility.

Korea's exports growth momentum is slowing

KOREA'S EXPORTS SLOWED TO A LOW SINGLE DIGIT GROWTH IN OCTOBER




*Source: CEIC, MUFG GMR*

# Taiwan dollar

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/TWD | 32.496 | 33.100 | 33.300 | 33.200 | 33.000 |
| TWD/JPY | 4.6295 | 4.6530 | 4.5650 | 4.5180 | 4.4850 |
| EUR/TWD | 34.283 | 33.760 | 34.970 | 35.190 | 35.640 |
| | | Range | Range | Range | Range |
| USD/TWD | | 32.000-34.000 | 32.200-34.200 | 32.200-34.200 | 32.000-34.000 |

## MARKET UPDATE

Some depreciation of TWD amid a stronger US dollar

In November, USD/TWD moved from 32.010 to 32.496. On September 19th CBC held its benchmark interest rate at 2.00%, but raised the RRR by another 25bps aiming to drain the liquidity in the banking system, and also further tightened the home-purchases rules. On 14th November Governor Yang said in the legislature that there is a turnaround of market expectation of rising home prices, but the housing price correction may only happen gradually from mid next-year.

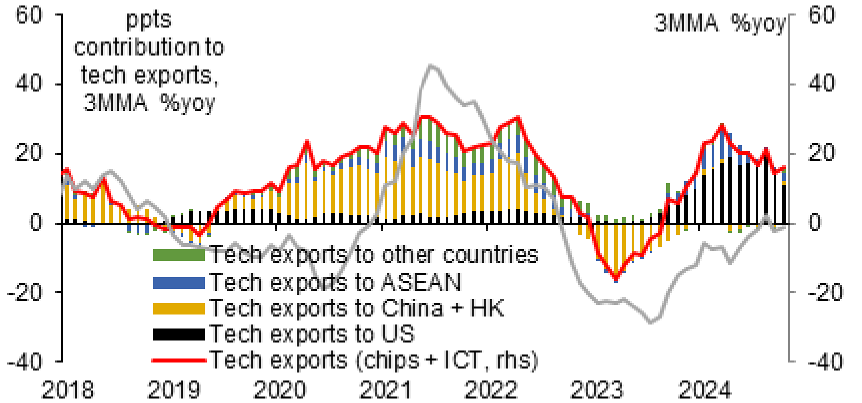
## OUTLOOK

Tariff risks and negative spillover effects likely pressure the currency

Taiwan's exports growth reaccelerated from 4.5%yoy in September to 8.4%yoy in October, supported by stronger tech exports growth (+2.5ppts to 14.1%yoy). Strong tech exports will likely continue to support the currency, and on 21st November, Nvidia's earnings call reported Q4 sales forecast that beat estimates and the company assured investors that AI chip demand growth would remain strong with new product line-ups such as Blackwell. This news bodes well for Taiwan's tech exports as TSMC is the sole production partner for Nvidia's most advanced AI training chips. Trump threatened to impose tariffs on Taiwan's chips, Governor Yang believes Trump is unlikely to impose stiff tariffs on Taiwan's advanced chips and ICT products, as "they are special and strategic materials the US needs". Nevertheless, Trump's threat of imposing additional 25% tariffs on US traditional ally such as Canada suggests high uncertainties over Trump's tariff plans and there could be unconventional approaches towards Taiwan too. Against this backdrop, the confirmed plan of President Lai's visit to US territory (e.g., Hawaii) during his seven-day trip to South Pacific (Nov 30-Dec 06), which China condemned, may heighten the geopolitical tension in the Taiwan strait and exert downward pressure on TWD.

US tech demand matters for Taiwan's tech exports

TECH EXPORTS TO US CONTRIBUTED MOST OF TECH EXPORTS GROWTH




*Source: CEIC, MUFG GMR*

# Thai baht

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/THB | 34.299 | 36.100 | 36.000 | 35.700 | 35.500 |
| THB/JPY | 4.3861 | 4.2660 | 4.2220 | 4.2020 | 4.1690 |
| EUR/THB | 36.185 | 36.820 | 37.800 | 37.840 | 38.340 |
| | | Range | Range | Range | Range |
| USD/THB | | 34.000-38.000 | 34.000-38.000 | 33.500-37.500 | 33.500-37.500 |

## MARKET UPDATE

THB weakened against the US dollar in November on Trump trade

In November the Thai baht weakened to 34.299 against the US dollar from 33.700 in October, as the US dollar strengthened following Trump's election victory. The BoT surprisingly cut its policy rate by 25bps to 2.25% in October. The next policy meeting is on 18th December.

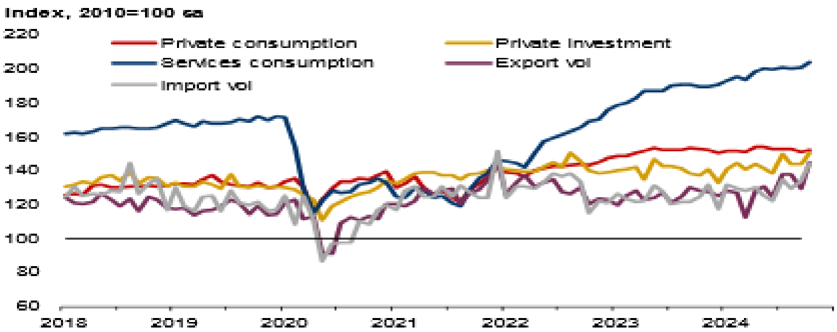
## OUTLOOK

We forecast USD/THB to rise to 36.100 in Q1 2025, as THB is highly vulnerable to US tariff hikes. An improving outlook for growth, driven by fiscal stimulus and tourism recovery, could provide some offset.

"Trump trades" appear to have stalled for now, with the US dollar index (DXY) retreating from a high of 108.00 and the US 10-year bond yield falling below end-October levels after touching a high of 4.50%. However, we maintain our forecast for USD/THB to rise to 36.100 in Q12025 on the back of potential US tariff announcements before possibly seeing some modest reprieve for the Thai baht in the subsequent quarters. If Trump imposes 60% tariff on all Chinese imports and a universal 10% tariffs globally, our estimates show the negative impact on growth in Thailand would be about 0.8% of GDP. Moreover, Thai baht's movement is highly correlated with that of the CNY. A depreciation of the CNY in response to US tariff hikes would have negative spillover effects on THB. While there will be currency headwinds, domestic factors could provide some offset. We expect private consumption will continue to support growth, as it will be bolstered by the government's cash handout programme. The first phase of the digital wallet scheme has been rolled out in Q4 2024 to revive consumer spending. And the second phase rollout of the scheme will be in 2025. Private investment will improve, driven by realisation of foreign investment into promising areas such as digital technology and electric vehicles. Private investment jumped 4.4%mom in October, from 0.2%mom in September. Meanwhile, the current account surplus widened to US$700mn, from US$559mn in September. Visitor arrivals in the first 10 months were 28.8mn, recovering to 88.3% of pre-Covid levels.

Activity indicators point to a further pickup in growth.

SERVICES CONSUMPTION REMAINS A KEY DRIVER OF GROWTH




*Source: CEIC, MUFG GMR*

## Vietnamese dong

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/VND | 25310 | 25800 | 25900 | 25800 | 25700 |
| JPY/VND | 168.24 | 167.50 | 170.40 | 172.00 | 173.60 |
| EUR/VND | 26702 | 26320 | 27200 | 27350 | 27760 |
| | | Range | Range | Range | Range |
| USD/VND | | 25000-26000 | 25000-26000 | 24900-25900 | 24900-25900 |

### MARKET UPDATE

VND weakened against the US dollar in November after Trump's victory

In November, the Vietnamese dong weakened against the US dollar, moving from 25,276 to 25,310 as the dollar strengthened. 3-month interbank rates rose further to above 4.50% in November from 3.50% in October to help maintain currency stability.

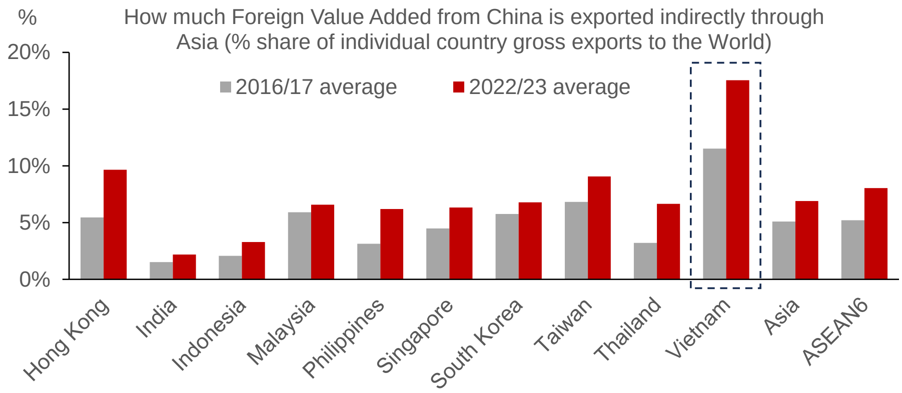
### OUTLOOK

We see USD/VND trading closer to 26,000 in 2025 with the Trump 2.0 administration likely to increase scrutiny on Vietnam exports and the Chinese-linked supply chains

If there is one country that is the microcosm of the diversification of supply chains in Asia, it is Vietnam. This process was already in place before Trump but was certainly catalysed and accelerated by his tariffs on China. Fast forward to today, foreign value added from China embedded in Vietnam's exports surged from 12% in 2016/17 up to 18% today, the highest amongst any Asian countries, indicating the central role of Vietnam in the China+1 supply chain. With that, Vietnam's bilateral trade surplus with US has more than tripled to US$100bn. We expect Trump 2.0 to impose some sector specific tariffs on Vietnam and to potentially tie tariffs to stricter rules of origin for Chinese products and exports from Chinese-headquartered companies. This together with Vietnam's export-oriented nature and high linkage to US end-demand points to a meaningful negative impact to Vietnam's growth from Trump 2.0. Nonetheless, we are hesitant to be overly bearish on VND even as we acknowledge the left tail risk. For one, Vietnam has been gaining significant export market share not just in the US, but also globally, indicating some structural factor beyond trade re-allocation benefiting Vietnam. Second, Vietnam's relationship with Trump and the US business community has historically been quite good, and so we think negotiation is more likely than not. Third, Vietnam has already been increasing its domestic value added, and the net impact to VND will also depend on the relative cost of shifting production to other countries versus further agglomerating within Vietnam.

Vietnam is the microcosm of the diversification and fragmentation of supply chains in Asia, as a key node in the China + 1 supply chain

### FOREIGN VALUE ADDED FROM CHINA IN VIETNAM'S EXPORTS SURGED FROM 12% IN 2016/17 TO 18% CURRENTLY, THE HIGHEST IN ASIA




Source: ADB Multi-Regional Input Output Tables, MUFG GMR

# Argentine peso

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/ARS | 1009.2 | 1110.0 | 1200.0 | 1310.0 | 1500.0 |
| ARS/JPY | 0.1491 | 0.1390 | 0.1270 | 0.1150 | 0.0990 |
| EUR/ARS | 1064.8 | 1132.2 | 1260.0 | 1388.6 | 1620.0 |
| | | Range | Range | Range | Range |
| USD/ARS | | 950.00-1300.0 | 1000.0-1400.0 | 1100.0-1600.0 | 1200.00-1700.0 |

## MARKET UPDATE

Modestly weaker

In October the Argentine peso weakened against the US dollar in terms of London from 989.73 to 1,009.2. The Argentine central bank (BCRA) lowered the Leliq policy rate by 5.00 percentage points at 35.00%.

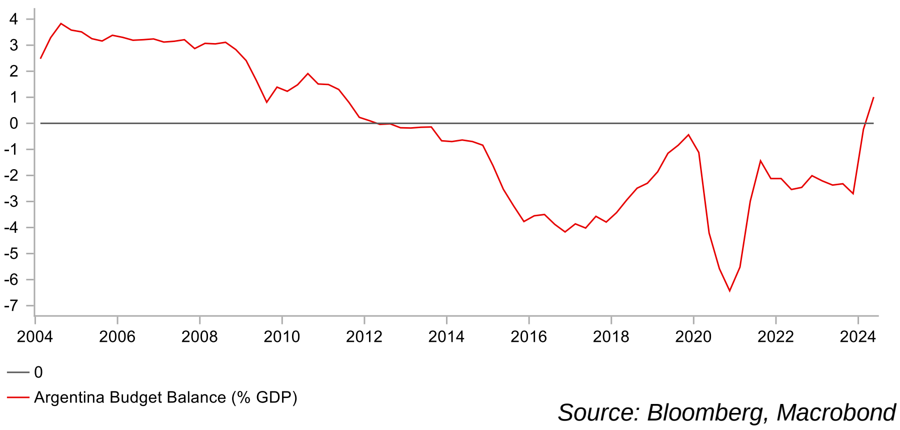
## OUTLOOK

Gradual peso depreciation until currency controls removed

The Argentine peso has continued to weaken against the US dollar by around 2% in November. The government is maintaining a crawling peg for the peso following the 55% devaluation in December of last year. We expect the policy standstill to change next year when President Milei moves to ease/lift currency controls that have been in place since 2019 in time for Argentina to tap markets. In the parallel market, the peso is currently trading around 8% lower than the official rate which is one of the narrowest gaps since currency controls were reintroduced in 2019. Recently Economy Minister Caputa stated Argentina will eliminate currency and capital controls sometime in 2025. We expect another one-off devaluation for the peso when currency and capital controls are removed. Before then President Milei has indicated that they could slow the crawling peg to 1% depreciation per month against the US dollar if inflation stays constant for another two months. Inflation slowed more than expected to 2.7%M/M in October which was a three year low. Inflation has been brought down by President Milei's ongoing efforts to tighten fiscal policy. Argentina has recorded a budget surplus for nine consecutive months now. In light of recent positive developments Fitch decided to raise Argentina's credit rating by two notches to CCC reflecting improved confidence in the Argentine authorities' ability to make upcoming foreign-currency bond payments "without seeking relief of some sort". President Milei is reportedly hoping that relations with US President-elect Trump will help Argentina secure access to fresh funding including an IMF loan.

Argentina has been running budget surpluses this year

ARGENTINA BUDGET BALANCE (% GDP)




*Source: Bloomberg, Macrobond*

## Brazilian real

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/BRL | 5.9904 | 6.1000 | 6.2000 | 6.3000 | 6.4000 |
| BRL/JPY | 25.114 | 25.250 | 24.520 | 23.810 | 23.130 |
| EUR/BRL | 6.3199 | 6.2220 | 6.5100 | 6.6780 | 6.9120 |
| | | Range | Range | Range | Range |
| USD/BRL | | 5.8500-6.3500 | 5.9500-6.4500 | 6.0500-6.5500 | 6.1500-6.6500 |

### MARKET UPDATE

Sharply weaker

In November the Brazilian real weakened sharply against the US dollar in terms of London closing rates from 5.7891 to 5.9904. The Brazilian Central Bank (BCB) raised the Selic policy rate by 50bps to 11.25%.

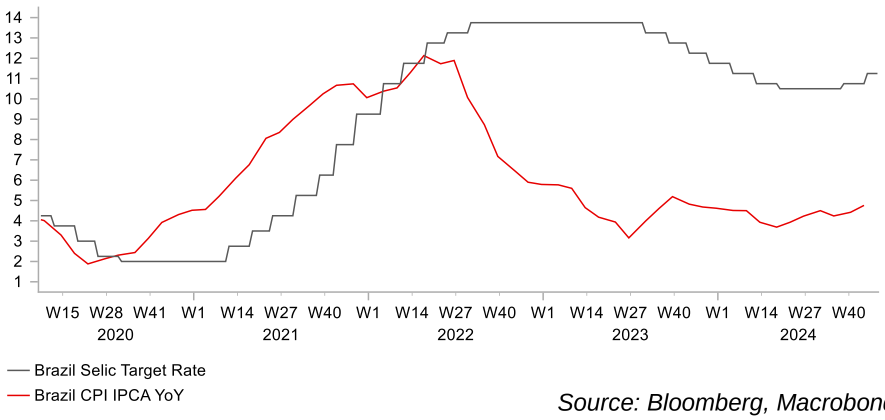
### OUTLOOK

Domestic fiscal concerns & trade war risks are a negative combination for the real

The real has weakened sharply in November following the US election resulting in USD/BRL hitting a new record high of 6.1152 after breaking above the COVID crisis highs from early 2020. The main trigger for the renewed BRL sell-off was another flare up in domestic fiscal concerns rather than the victory for Donald Trump in the US election. The government's much anticipated proposals to cut spending failed to reassure market participants who have since moved to price in an even greater risk premium into the real. Finance Minister Haddad stated that the measures will improve the budget by BRL70 billion in 2025 and 2026 combined, but he did not provide details of the estimated impact of each measure. The package also included a poorly timed rise in the income tax exemption bracket to BRL5,000/month unsettling market participants. The unfavourable market reaction will keep pressure on the government to outline further fiscal tightening measures to regain investor confidence. Furthermore, the BCB will be under pressure to deliver larger rate hikes to help stabilize the real and dampen upside inflation risks. The BCB have already signalled that they have a "firm commitment" to tame inflation. Market participants will be watching closely to see if new Governor Gabriel Galipolo defends the BCB's inflation fighting credibility next year. The external environment is also set to be more challenging for the real next year after the election victory for Donald Trump. More disruptive trade policies will dampen the outlook for global growth weighing on commodity prices and related currencies such as the real.

BCB to raise rates further to dampen upside inflation risks

### BCB POLICY RATE VS. BRAZIL CPI




*Source: Bloomberg, Macrobond*

# Chilean peso

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/CLP | 972.95 | 1030.0 | 1050.0 | 1070.0 | 1050.0 |
| CLP/JPY | 0.1546 | 0.1500 | 0.1450 | 0.1400 | 0.1410 |
| EUR/CLP | 1026.5 | 1050.6 | 1102.5 | 1134.2 | 1134.0 |
| | | Range | Range | Range | Range |
| USD/CLP | | 880.00-1080.0 | 880.00-1140.0 | 880.00-1160.0 | 880.00-1140.0 |

## MARKET UPDATE

**CLP depreciation**

In November the Chilean peso depreciated against the US dollar from 961.10 to 972.95. The BCCh did not meet in November and hence the key policy rate was unchanged at 5.25%, following a 25bp cut in October, the tenth cut in the cycle.

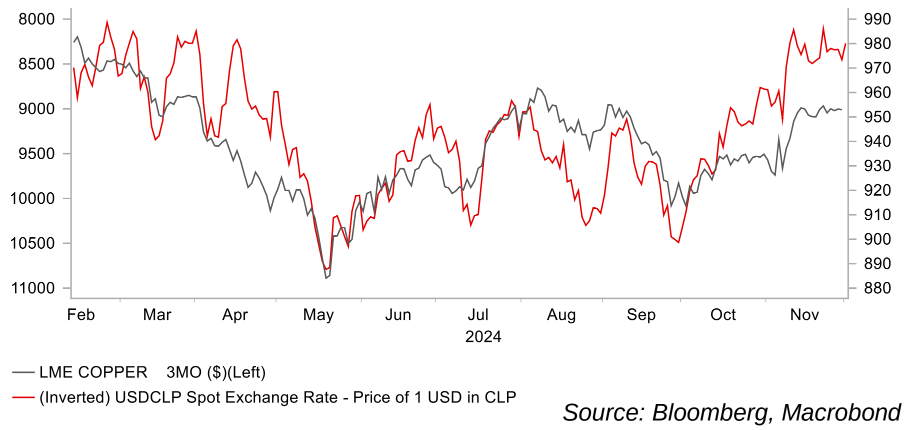
## OUTLOOK

**Chile vulnerable to China-US trade conflict**

The Chilean peso weakened in November in line with most currency moves versus the US dollar following the election victory for Donald Trump. The peso suffered more than many other LatAm currencies and remains vulnerable to further weakness ahead given the risks of an escalation in trade conflicts driven by Trump's trade tariff plans. For Chile, it's top two trading partners are China and the US and a hit to China growth and possible trade tariffs on US exports could undermine confidence in Chile. Exports to the US and China combined accounted for over 50% of Chile's total exports in 2023. Chile exports to China account for around 11% of GDP and the US a further 4.5% underlining the importance of the two trading partners. Since the 'Trump trade' became a driver in the markets in early October, the price of copper has declined by over 10%. The vulnerability of the peso from trade uncertainties will be partly diminished by the improving domestic economic backdrop. Real GDP expanded by a stronger than expected 0.7% Q/Q in Q3 after a contraction in Q2. After weak growth in 2023 due to tighter policy and inflation, the annual rate of GDP growth picked up from 1.6% in Q2 to 2.3% in Q3. The average Y/Y growth in 2024 to date is the strongest since 2019 when the covid-related recovery is excluded. After ten rate cuts we assume only modest further easing from here. Better growth could mean increased inflation risks and a positive real yield will be required to support CLP. We still expect the peso to weaken given the trade tariff actions from the US and from the potential continued weak demand from China.

**CLP is anticipating slowdown in global growth**

USD/CLP VS. PRICE OF COPPER




*Source: Bloomberg, Macrobond*

# Mexican peso

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/MXN | 20.305 | 22.000 | 21.500 | 21.000 | 20.500 |
| MXN/JPY | 7.4089 | 7.0000 | 7.0700 | 7.1430 | 7.2200 |
| EUR/MXN | 21.422 | 22.440 | 22.580 | 22.260 | 22.140 |
| | | Range | Range | Range | Range |
| USD/MXN | | 19.500-24.500 | 19.000-24.000 | 18.500-23.500 | 18.000-23.000 |

## MARKET UPDATE

MXN depreciation

In November the Mexican peso depreciated notably from 20.035 to 20.305. At its meeting in November Banxico cut the key policy rate by 25bps to 10.25%, which followed three 25bp cuts in September, August and March.

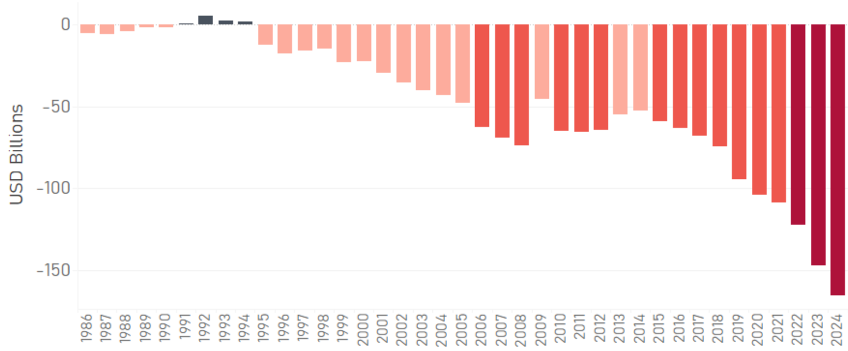
## OUTLOOK

Downside risks on US election outcome and probable trade tariffs

The Mexican peso weakened further against the US dollar with the depreciation well anticipated in response to the election victory for Donald Trump. The impact of a Trump presidency was evident by comments then made by President-elect Trump who stated he planned to hit Mexico with a 25% tariff on all goods in response to illegal drugs and immigrants crossing the border into the US. It is therefore apparent that Tump does not believe the USMCA trade deal in any way protects Mexico from his plans to implement tariffs. Mexico exports over 80% of total exports to the US and in GDP terms, exports to the US equate to over 23% leaving Mexico vulnerable to a substantial increase in tariffs. President Sheinbaum was quick to respond to the threat stating that “one tariff will be followed by another in response, and so on until we put common companies at risk”, adding that General Motors, Stellantis and Ford are some of the biggest exporters from Mexico to the US. Sheinbaum also called for joint discussions on fentanyl and immigration and highlighted some of the work Mexico is doing to tackle these issues. Sheinbaum also highlighted Mexico’s plans to replace China made goods with goods produced in Mexico. It is worth noting that in the past six months, USD/MXN is already close to 25% higher fuelled initially by political uncertainty and concerns over judiciary reforms in Mexico and hence while we see further MXN depreciation as likely, the peso is already sharply weaker. Mexico is also likely to work with the US on Trump’s concerns and therefore beyond the near-term move weaker for MXN, we see scope for modest recovery beyond.

Mexico's trade deficit with the US highlights dependency and vulnerable to Trump tariffs

US TRADE BALANCE WITH MEXICO (12 MONTH SUMS TO EACH NOVEMBER)




Source: United States Census Bureau

# Crude Oil

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| Brent | 73.23 | 73.00 | 69.00 | 74.00 | 77.00 |
| NYMEX | 69.25 | 68.00 | 64.00 | 69.00 | 72.00 |
| | | Range | Range | Range | Range |
| Brent | | 63.00-83.00 | 59.00-79.00 | 64.00-84.00 | 67.00-87.00 |
| NYMEX | | 58.00-78.00 | 54.00-74.00 | 59.00-79.00 | 62.00-82.00 |

## MARKET UPDATE

Oil prices hovered in a narrow range in November

In November, oil prices hovered within a narrow range (Brent -0.4% m/m; WTI -1.1% m/m) on geopolitical risks that have since subsided. Whilst there may be value in long oil positions given portfolio hedging benefits against lingering geopolitical shocks, investor attention has markedly shifted back to the bearish prices risks of significant oversupply in 2025.

## OUTLOOK

Brent is on track to average ~USD80/b but are currently trading between low-to-mid USD70s/b

Brent oil prices are on track to average ~USD80/b this year, but have declined to the low-to-mid USD70s/b despite elevated geopolitical uncertainty. This selloff is somewhat surprising given global and OECD commercial visible stocks have trended down since the summer months, and because we now estimate a modest 2024 deficit of 0.8m b/d. Part of the selloff reflects market confidence in a large 2025 surplus, which has depressed positioning and valuation.

We assume a Brent corridor between USD65-80/b in 2025

Our base case remains that Brent stays in a USD65-80/b range, although the risks of breaking out are growing. High spare capacity of ~6m b/d limits the price upside in most scenarios. The eight OPEC+ producers (which announced voluntary production cuts in 2023) signalled plans in June and August 2024 to raise production when Brent was in the low USD80s/b. The recent decisions to delay supply increases when Brent dropped to the low USD70s reinforces the price elasticity of OPEC+ supply. This, combined with the price elasticity of US shale supply (which rises when Brent drops to the USD60s) and of oil demand (including SPR) limits price downside in most scenarios, in our view.

Iranian supply risks are top of mind

In a scenario where Iran supply drops by ~1m b/d, reflecting for instance tighter sanctions enforcement in a maximum pressure campaign, we estimate that Brent rises to USD83/b by mid-2025 assuming that OPEC+ production increases through December 2025 (vs. through March 2025 in our base case). To put this into context, Iran liquids exports dropped 2.4m b/d between the May 2018 US nuclear deal exit and the start of the pandemic, with exports to OECD falling to near zero and to China from 0.8m b/d to 0.3m b/d). Hawkish comments on Iran from several US policy nominees suggest that a substantial drop in Iran exports is plausible. However, China's ~90% share in Iran's ~2.0m b/d of exports and the build-out of an alternative supply chain suggest that any drop would be smaller than in 2018-19, in our view. Furthermore, a potential strengthening in US support to Israel may also raise the probability of disruptions. Assuming a 2m b/d disruption to Iran supply, we estimate that Brent could temporarily rise north of USD80/b if OPEC+ offsets the shortfall.

Global oil demand remains weak

On the demand side, incoming data has continued to disappoint. Although we have already revised our demand forecasts substantially lower in recent months and our estimates have been below consensus throughout this year, reported demand has nevertheless come in even weaker. This is primarily driven by China. Having said that, demand has come in below our assumptions in the US, Japan and several smaller non-OECD countries. Taken together, we lower our demand growth assumption by ~150k b/d, from 1,050k b/d to now 900k b/d.

Global oil demand is likely to continue to rising for another decade

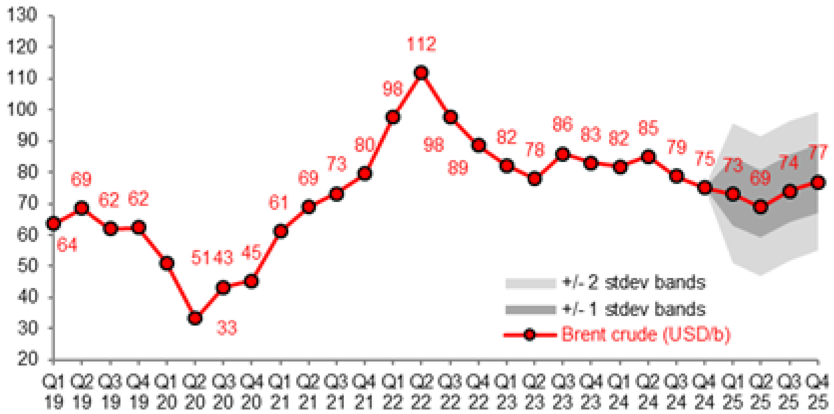
Looking beyond 2025, we expect oil demand to grow another decade (consistent with our equity analysts' view that demand grows through 2034) for two reasons. First, we expect EM energy demand to rise sharply as EM GDP grows at a ~4% annualised pace in the second half of this decade. EM road and air transportation demand rises rapidly with income, with room for growth in car ownership and especially air travel. Second, decarbonisation remains more challenging for air travel and petrochemical products than for road transportation. While we expect the global number of passenger vehicles and air passengers to rise by 60% and ~100%, respectively, by 2040, we forecast a steeper decline in oil consumption per vehicle than in oil consumption per air passenger.

The speed of EVs is a core motivation of the peak in road oil demand

The speed of electric vehicle (EV) sales is the core driver of the road oil demand peak, which we forecast in 2025 for China, where EVs now drive 60% of vehicles sales. We expect the EV drag on global annual oil demand growth to increase from 0.4mb/d this year to nearly 0.6m b/d by 2026, assuming global EV sales rise from 11m in 2024 to 19m in 2026. Going forward, risks to our peak oil demand 2035 forecast are skewed towards a later peak given the downside risk to EV sales but two-sided with faster oil-to-gas switching signalling an earlier peak than envisaged.

Our Brent price forecasts remain in a USD65-80/b band in 2025

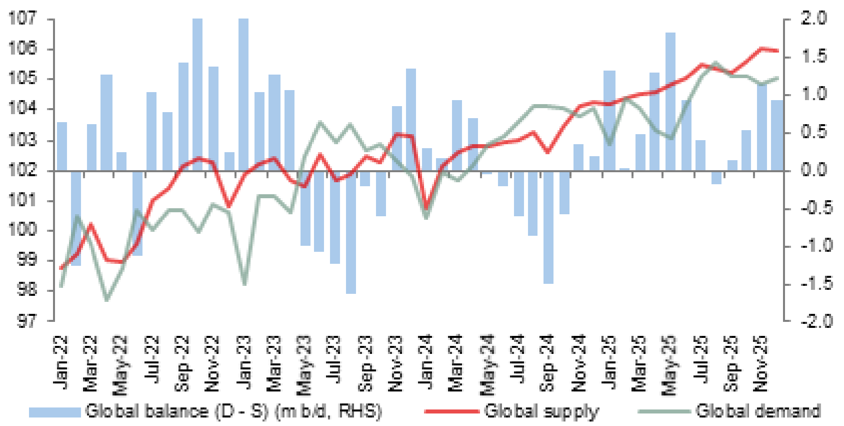
BRENT CRUDE WITH STANDARD DEVIATION BANDS (USD/B)




Source: Bloomberg, MUFG Research

Following a deficit in 2023 (-0.4m b/d) and 2024 (-0.4m b/d), the market is pivoting to a surplus (0.8m b/d) in 2025, on surging supply growth (2.2m b/d), against still healthy demand growth (1.4m b/d)

GLOBAL OIL DEMAND, SUPPLY AND BALANCE (M B/D)




Source: Bloomberg, MUFG Research



MUFG

# Saudi Riyal

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/SAR | 3.7564 | 3.7500 | 3.7500 | 3.7500 | 3.7500 |
| SAR/JPY | 40.049 | 41.070 | 40.530 | 40.000 | 39.470 |
| EUR/SAR | 3.9630 | 3.8250 | 3.9380 | 3.9750 | 4.0500 |
| | | Range | Range | Range | Range |
| USD/SAR | | 3.7450-3.7750 | 3.7450-3.7750 | 3.7450-3.7750 | 3.7450-3.7750 |

## MARKET UPDATE

The USD/SAR forward was broadly flat in November 2024

In November, the 12 month Saudi riyal (SAR) forward contract remained broadly flat against the USD in terms of London closing rates from 3.7556 to 3.7555. Given the USD currency peg, Saudi policy continues to closely follow the Fed, in order to maintain the relative attractiveness of the peg and stem any capital arbitrage.

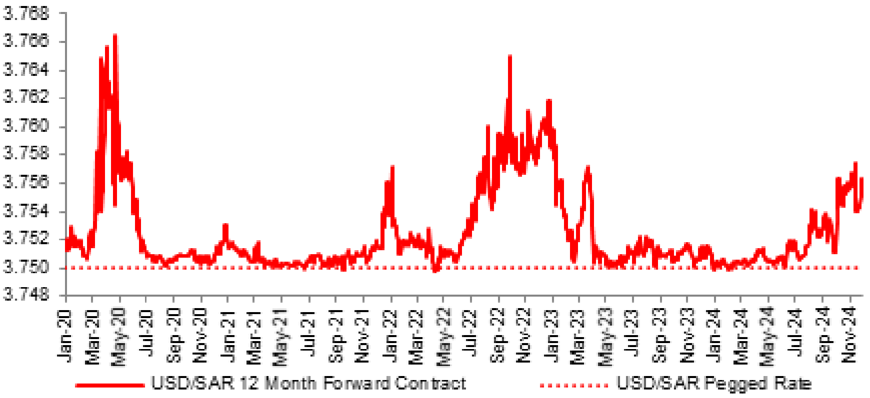
## OUTLOOK

Saudi's Moody's rating upgrade to Aa3 (stable) in focus

Saudi Arabia's sovereign rating was upgraded by Moody's to Aa3 from A1, and the outlook on the rating was revised to stable from positive. According to the rating agency the upgrade was in response to success in economic diversification and that further momentum will be maintained. Moody's also noted positively the "recalibration and reprioritisation of diversification projects" as a positive driver for Saudi Arabia's fiscal path. Moody's expects non-oil growth of around 4-5% and fiscal deficits of between 2-3% of GDP in the coming years. Meanwhile, the Saudi Ministry of Finance released its budget statement for 2025 with planned spending of SAR1,285bn, down ~5% from its estimated spending for 2024. Spending cuts will be made to goods and services expenditure as well as to other expenditures. Meanwhile, capex is also projected to decline. Revenue is also projected to drop next year by about 4% leading to a budget deficit of SAR100bn or slightly more than 2% of GDP according to the ministry of finance statement. Finally, preliminary Q3 2024 GDP data suggest the economy expanded by 0.8% in q/q seasonally adjusted terms – strong, but down 0.6ppts from the pace set through H1 2024. The sequential easing was led by a deceleration in non-oil activity, which printed at a one-year low of 0.5% q/q. Oil GDP also rose in annual terms, with the 0.3% y-o-y gain ending a five-quarter run of steep annual contractions as OPEC-driven cuts dropped out of the base. The shift helped to lift headline y/y growth to 2.8% – the first positive annual reading since Q2 2023.

The 12 month USD/SAR forward continues to trade close to spot levels

USD/SAR SPOT AND 12-MONTH USD/SAR FORWARD CONTRACT




Source: Bloomberg, MUFG Research

# Egyptian Pound

| | Spot close 29.11.24 | Q1 2025 | Q2 2025 | Q3 2025 | Q4 2025 |
|---|---|---|---|---|---|
| USD/EGP | 49.565 | 49.700 | 49.300 | 49.100 | 48.700 |
| EGP/JPY | 3.0352 | 3.0990 | 3.0830 | 3.0550 | 3.0390 |
| EUR/EGP | 52.291 | 50.690 | 51.770 | 52.050 | 52.600 |
| | | Range | Range | Range | Range |
| USD/EGP | | 47.300-52.300 | 47.100-52.100 | 47.700-52.700 | 47.700-52.700 |

## MARKET UPDATE

The EGP weakened slightly against the US dollar in October

In November, the Egyptian Pound (EGP) weakened against the US dollar in terms of London closing rates moving from 48.829 to 49.594.

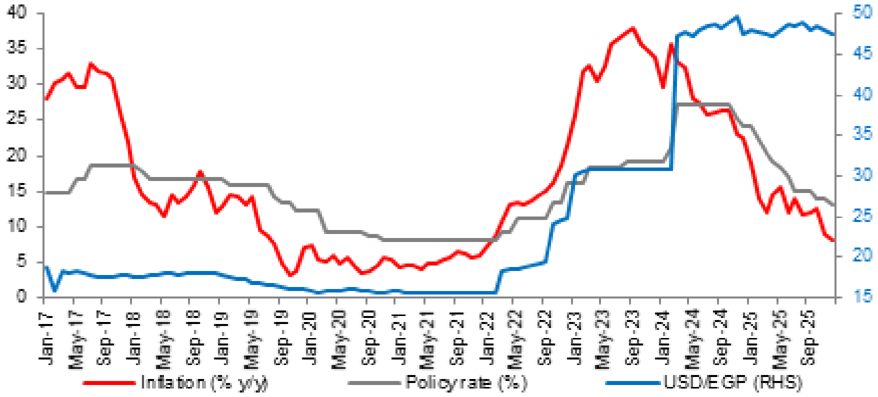
## OUTLOOK

Inflation rises in October and rates kept on hhold

Headline inflation rose just 0.05pp in October, printing at 26.5% y/y, compared with 26.4% y/y in September. While at face value this may seem a dovish surprise to expectations, the driver for the better-than-expected outcome was a statistical anomaly, that is, the omission of annual education fee increases. The October CPI reading fundamentally reflected continued disinflation dynamics in Egypt, with sequential inflation in October coming in at 1.1% m/m, in line with the average monthly increase in prices since March of this year. Most of the volatility in inflation has been down to non-core items (energy and food), with core inflation declining to 24.4% y/y in October (from 25% y/y in September). The Central Bank of Egypt (CBE) kept all policy rates on hold, in line with consensus, on 21 November. In its accompanying statement, the Monetary Policy Committee (MPC) reinforced its prudence by signalling upside risks to inflation from supply shocks to commodities from global trade disruptions and adverse weather conditions. Our expectation is that a ~10pp decrease in the annualised inflation rate on base effects in February 2025 will initialise an aggressive cutting cycle. Given that inflation is expected to settle at 11% y/y on our estimates, we assume a spot real rate of 2.00% and thus see the policy rate at 13.00% by end-2025. Finally, Egypt's PMI was little changed on a monthly at 49 – another contractionary reading that points to ongoing sequential weakness in activity. There is some optimism in sharply higher export order readings that indicate FX weakness and a focus on external markets may be gaining traction.

Given our benign view of the inflation trajectory and the disinflation path, we hold conviction that there is scope for interest rate cuts in the near term, and sustained easing cycle over the next 18 months

EGYPT INFLATION (% Y/Y), POLICY RATE (%) AND USD/EGP




Source: Bloomberg, CBE, MUFG Research

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Credit: We expect the credit spread to remain stable, on an interest rate hedged basis

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